

How Do Principles Governing Loyalty Affect Copyright and Trademark Licensing Agreements?

A Comparative Study of Finland and the United States

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The study compares and contrasts loyalty principles that affect copyright and trademark licensing agreements in Finland and the United States of America, respectively. In doing so, it establishes how and to what extent the principles affect said agreements. The study also provides a stance on which system better ensures the parties' rights. The thesis covers this viewpoint as principles of loyalty have as one of their objectives to ensure that the parties' rights are not frustrated.

First, the study defines the principles governing loyalty within the framework of general contract law, applying these findings to the more specific framework of copyright and trademark licensing agreements. The study examines and evaluates these principles' effects on the agreements while simultaneously comparing the two systems, establishing their main similarities and differences. The study also investigates franchising agreements in more detail due to their high relationality and abundance in business. After this, the study evaluates these findings and utilizes them to extract an answer to the question of which system better ensures the rights of the parties.

TABLE OF CONTENTS

<i>Abbreviations</i>	<i>III</i>
<i>1 Introduction</i>	<i>1</i>
1.1 Background.....	1
1.2 Scope, Aim, Motivation, and Research Questions.....	2
1.3 Research Methods and Structure	4
<i>2 Principles Governing Loyalty in Finnish and U.S. Contract Law</i>	<i>8</i>
2.1 Loyalty in Finnish Contract Law.....	8
2.1.1 Principle of Loyalty	9
2.1.1.1 Principle of Loyalty as a Legal Principle	9
2.1.1.2 Principle of Loyalty in Finnish Legislation	14
2.1.2 Principle of Loyalty in Negotiations.....	15
2.2 Loyalty in U.S. Contract Law	16
2.2.1 The Duty of Good Faith and Fair Dealing in Contractual Relationships.....	16
2.2.1.1 Codifications of Duty of Good Faith and Fair Dealing.....	16
2.2.1.2 The Duty of Good Faith and Fair Dealing in Common Law and its Application.....	17
2.2.2 The Duty of Good Faith and Fair Dealing in Precontractual Negotiations.....	20
2.3 Conclusion on the Principles	21
<i>3 What Are Copyright and Trademark Licensing Agreement?.....</i>	<i>23</i>
3.1 Copyright and Trademark Law in Finland and the U.S.	23
3.2 Copyright and Trademark Licensing Agreements in Finland and the U.S.	25
<i>4 How Do Principles of Contract Law Governing Loyalty Affect Copyright and Trademark Licensing Agreements?.....</i>	<i>27</i>
4.1 Loyalty in Precontractual Negotiations.....	27
4.2 Contract-Based Loyalty.....	29
4.2.1 The Finnish Principle of Loyalty	29
4.2.1.1 In Legal Literature	29
4.2.1.2 In Case Law.....	33
4.2.2 Good Faith and Fair Dealing in the U.S.....	36
4.2.2.1 Application of the Duty of Good Faith and Fair Dealing	36

4.2.2.2	Implied Duty of Best Efforts	48
4.3	A Closer Look into Loyalty in Franchising Agreements	52
4.3.1	The Finnish Principle of Loyalty	53
4.3.2	Good Faith and Fair Dealing in the U.S.	56
4.4	International Restatements of Law	61
5	<i>A Comparative Assessment of Contractual Loyalty in Copyright and Trademark Licensing.....</i>	63
5.1	Comparing and Contrasting How Principles of Contract Law Governing Loyalty Affect Copyright and Trademark Licensing Agreements	63
5.2	Which Body of Contract Law Governing Loyalty in Copyright and Trademark Licensing Agreements Better Ensures the Rights of Contracting Parties?	67
	<i>Bibliography</i>	73
	<i>Case Law</i>	79
	Finland.....	79
	Sweden.....	79
	The U.S.	79

Abbreviations

DCFR	Draft Frame of Reference
PECL	Principles of European Contract Law
The Restatement	Restatement (Second) of Contracts (Am. L. Inst. 1981)
UCC	Uniform Commercial Code (Am. L. Inst. 1981)
UNIDROIT	Principles of International Commercial Contracts
The U.S.	The United States of America

1 Introduction

1.1 Background

“Intellectual property rights are the rights given to persons over the creations of their minds.”¹

The scope of intellectual property rights includes copyrights, design rights, trademarks, patents, and utility models.² The owner of intellectual property may grant the rights to certain uses of their property through an intellectual property license. In this case, the owner of the right licenses their property to a licensee in exchange for some monetary gain from their use of it.³ Such use can mean for example, the distribution, performance or publication of a copyrighted work.⁴ In terms of trademarks, such use most often entails letting another entity use the trademark in their business.⁵ A license is most commonly granted in one of four ways: 1) a traditional contract, 2) a contract licensing system, 3) a creative commons license, or 4) a compulsory license.

The intellectual property license is a common vehicle to monetize an asset in the Nordic countries and similarly in other civil law jurisdictions in the European Union. Intellectual property licenses are also common in other civil law jurisdictions around the world, as well as in common law jurisdictions. Across these jurisdictions, there are many differences in the regulation of intellectual property, just as there are differences in legislation in general. For example, in the United States, the body of intellectual property law and contract law is best examined in the related IP federal laws and legal literature, common law of contracts, and their respective application. However, in Finland, contract law is heavily influenced by nearby jurisdictions such as Sweden, Norway, and Denmark, as the Nordic countries have an extensive history of legislative collaboration.

One key difference between different jurisdictions in contract law is their conception, or lack thereof, of the principle of loyalty. According to Cambridge Dictionary loyalty

¹ World Trade Organization 2024a.

² Huovio 2014, p. 4.

³ Huovio 2014, p. 30–31.

⁴ Justia Intellectual Property Law Center 2024a.

⁵ Justia Intellectual Property Law Center 2024b.

as such means the quality of being loyal⁶, whereas loyal is defined as “*firm and not changing in your friendship with or support for a person or an organization, or in your belief in your principles*”⁷. According to the Oxford English Dictionary, ever since the 1600s loyal has meant, among other things, *true to obligations of duty*.⁸ In Finland, there is a principle of loyalty (*lojaliteettiperiaate*) supported in legal literature and application by the courts. In the U.S., the closest equivalent to this is the principle of good faith and fair dealing, often referred to in short as ‘good faith’.⁹

1.2 Scope, Aim, Motivation, and Research Questions

For the sake of research economics, the scope of this thesis is limited to copyright and trademark licensing agreements. This restriction has been established because a comprehensive study into loyalty in the broader area of contracts would inevitably result in a mere “surface scratch” of the topic, so to speak. By restricting the scope to copyright and trademark licensing agreements, one can delve into the topic with the appropriate depth required. Despite the restriction on the scope of the thesis, loyalty will also be examined as it appears in general contract law, as general contract law principles also apply to copyright and trademark licensing agreements.

For this exploration into the duty of loyalty, the licensing agreement is an especially apt study, because it contains both short-term and long-term contracts where loyalty appears in different forms. For example, as long-term agreements demand great flexibility, they also inherently come with more gaps and uncertainty, and thus require more loyalty on behalf of the contracting parties.¹⁰ The study focuses on traditional contracts and excludes contract licensing systems, creative commons licenses and compulsory licenses.

The study excludes other forms of loyalty such as 1) fiduciary loyalty or 2) employer’s and employee’s duty of loyalty. The study also excludes consumer matters as consumer matters focus more heavily on the protection of the weaker party than

⁶ Cambridge Dictionary 2024a.

⁷ Cambridge Dictionary 2024b.

⁸ Oxford English Dictionary 2024.

⁹ Munukka 2007, p. 42-43.

¹⁰ Sund-Norrgård, Kolehmainen, and Suhonen 2015, p. 190.

loyalty between contracting parties. This means that loyalty as a concept will only be explored as it appears in the context of commercial contracts, and more in depth in the context of copyright and trademark licensing agreements.

This study also excludes certain types of duties of loyalty within contract law. There are two primary forms of loyalty in contract law: 1) a statutory requirement rising out of doctrine or legislation, or 2) an explicit provision in a contract. This thesis only discusses statutory implied forms of loyalty, while any explicit contract provisions of loyalty agreed upon by contracting parties are excluded.

The geographical scope of the study is 1) Finland, and 2) the United States of America. These two countries represent the civil law system and the common law system, respectively. The U.S. was chosen as the other target of comparison because of the vast amounts of intellectual property that is created there, which has also translated into a big industry around it requiring regulation. The U.S. was also chosen as it represents another legal family, and because their culture of doing business differs from that of Finland. Generally, common law systems tend to be more adversarial. This can often be observed in the U.S. law and commerce.

When discussing the United States, focus is on both federal and state statutes and common law, where both will be used to the extent appropriate. When discussing Finland, the focus is naturally on Finnish legislation, but Swedish, Norwegian, and Danish legislation and jurisprudence are used as support, due to their strong cooperation on legislation regarding intellectual property and contracts.

In comparing these two systems, this thesis uses the term *U.S. system* or simply *the U.S.* when referring to the legislation and jurisprudence of the United States at either federal or state level. The United States and its states will be grouped in together, because as they have a long history of legislative cooperation and the differences between states regarding this study's subject matter are mostly insignificant. Any significant findings about differing practices or definitions regarding the concept of loyalty will be noted in this paper.

The aim of this paper is to focus on defining how the principle of loyalty affects copyright and trademark licensing agreements in the U.S. and Finland, especially in terms of requirements and obligations set forth by principles governing loyalty. The

study aims to compare and contrast those effects of both jurisdictions. The thesis is specifically directed to aid contracting parties from the U.S. and Finland, but parties from other countries or civil or common law jurisdictions can also benefit from the research to some extent.

The research into this topic is so important for two main reasons. The first reason is that a comparative study benefits both legal and business communities, as international licensing agreements are essential to the world of commerce.¹¹ The second reason this topic is so important is because it has such a short history. Though Finnish principle of loyalty had been researched in large quantities, Sund-Norrgård in her 2011 doctoral thesis was the first researcher to focus specifically on loyalty and licensing agreements.¹² This study takes a similar viewpoint as that of Sund-Norrgård but builds on to it by adding a comparative dimension to the research.

The two principal research questions are the following:

1. *How do US and Finnish principles of contract law governing loyalty affect copyright and trademark licensing agreements in their respective jurisdictions?*
2. *Which of the two bodies of contract law governing loyalty in copyright and trademark licensing agreements better ensures the rights of contracting parties?*

This following thesis will compare and contrast the two legal systems with respect to the contract law concept of loyalty and formulate a conclusion as to the two principal research questions.

1.3 Research Methods and Structure

This study is conducted mainly using legal dogmatics. However, some comparative law elements are also employed throughout the study. This study uses legal dogmatics to determine, for both systems, how the existing principles affect copyright

¹¹ Byington 1981, p. 193.

¹² Petra Sund-Norrgård 2011, p. 17.

and trademark licensing agreements and the contracting parties, as well as examines which body of law better ensures the rights of the parties.

This study also uses the comparative method as an assisting method, because of the study's aim to produce integrative and contradictory jurisprudence of two very different systems in two very different legal families. However, the study does not aim at actual harmonization. The aim is somewhat theoretical, i.e. to describe both the state and structure of the phenomenon within the legal systems and its effects. Nevertheless, the research can also be of practical use, as the research results could potentially be used in new legislative projects. This analysis does not employ a strict comparative method. Instead, the comparative method is used to support legal dogmatics in its quest to answer the principal research questions.

The sources used in researching the Finnish law consist mostly of legal literature from Finland. In addition, some Swedish, Norwegian, and Danish literature are also used, as, due to the aforementioned Nordic cooperation, they too materially represent the situation in Finland. In addition to legal literature, Finnish legislation and Finnish and Swedish case law was also used. Swedish, Norwegian, and Danish legislation were also briefly examined.

The sources used in researching U.S. law consist mainly of legal literature, research handbooks/manuals, laws, case law, and model agreements. In terms of legal literature, most sources were published law review articles, which differs from the Nordic tradition of publishing monographs. The sources were from both federal and state level, and from different levels of the court system.

The thesis is subdivided into the following five chapters:

- Chapter 1 is an introductory chapter laying out the background, scope, and method of study. It also discusses the sources used and introduces the research questions the study aims to answer.
- Chapter 2 takes a comprehensive look into the Finnish and American principles governing contractual loyalty. The chapter focuses on how the principles are defined, what their scope of applicability is, and how they affect contracts in general.

- Chapter 3 is a brief introduction to copyrights, trademarks, and their licensing agreements. Throughout the chapters two and three comparison is made between the U.S. and Finland.
- Chapter 4 deals with the effects that the principles governing loyalty have or can have on copyright and trademark licensing agreements specifically. This chapter answers to the question of how the principles governing loyalty affect copyright and trademark licensing agreements specifically, and then compares and contrasts these effects and the extent of them between the two jurisdictions. Due to their unique and international nature as well as their importance and abundance in the commercial world, a closer look is taken into franchising agreements specifically.
- Chapter 5 focuses on giving an answer to the research questions presented. The research conducted in previous chapters is analyzed and a conclusion is drawn based on that analysis. In the chapter five the results of chapters two, three, and four are analyzed and concluding remarks and responses to the research questions are made based on the analysis. The chapter starts with giving an answer to the first research question, summarizing and evaluating the findings of the chapters three and four. After this, the chapter focuses on the second research question on which body of contract law governing loyalty in copyright and trademark licensing agreements better ensures the rights of contracting parties.

In addition to chapter 4, chapter 2 also deals with the effects that the effects that the principles governing loyalty have or can have on copyright and trademark licensing agreements as licensing agreements in both systems are also subject to the effects that principles of loyalty have on agreements according to general contract law. The chapter 2 is especially important for the Finnish system, as no specialty legislation regarding licensing agreements has been enacted and case law on the topic is scarce. For the most part, the approaches and principles of general contract law are applied to licensing agreements as well, and for this reason the chapter 2 examines more in depth the Finnish system and less so in the chapter four. On the contrary, the chapter 2 doesn't examine the U.S. system as comprehensively as specific legislation and case law is available on the application of principles on loyalty in copyright and trademark licensing agreements and franchising agreements specifically. Due to these

differences in available sources and how the legal framework in both systems is built around the subject, chapter 2 focuses more on the Finnish system and chapter 4 on the U.S. system, the two chapters together forming a balanced outlook on the topic in respect to both systems.

2 Principles Governing Loyalty in Finnish and U.S. Contract Law

2.1 Loyalty in Finnish Contract Law

The contracting process can be thought of broken up into two stages: a) time before a contract, and b) time after entering into a contract. This division is important especially when considering what obligations, rights and liabilities certain parties may have towards each other. In Finnish jurisprudence there is a distinction between contractual liability and non-contractual liability. This distinction extends to and affects the duty of loyalty. As discussed below, there is the same distinction between requirements of loyalty between contracting parties depending on whether a contractual relationship has already been established between them.

Unfortunately, there is no consensus among legal scholars as to which elements of Finnish contract law are to be seen as arising from the notion of loyalty.¹³ Some prefer to view loyalty through a more concise definition, whereas others lean towards a broader definition. For instance, legal scholars disagree whether the requirement for loyalty and the requirement for general morality should be considered to overlap or exist in congruence.

Due to the aforementioned ambiguity, this Chapter adopts a broad lens to the concept of loyalty in Finnish contract law. Meaning it refers to the principle of loyalty as a unanimously considered guiding principle, as well as all other duties that different scholars consider it to encompass.

¹³ For example, Karhu notes that different contract law principles can in their own ways promote the same ideals behind the principle of loyalty, and thus drawing a line between these different principles may prove difficult in many situations. He also suggests that the principle of loyalty could be used to complement other contract law principles. Karhu 2008, p. 104–105. Also, Munukka states that even though some principles might seem to share a common conceptual foundation with the principle of loyalty, they still don't necessarily fall within its scope. Munukka 2007, p. 76.

2.1.1 Principle of Loyalty

2.1.1.1 Principle of Loyalty as a Legal Principle

2.1.1.1.1 General Duty of Cooperation

The principle of loyalty is applicable to the majority of contractual relationships.¹⁴ It is a common principle that exists in the Nordic countries.¹⁵ The importance of loyalty is heightened particularly with contracts that are long-term or concerning very diverse subject matters.¹⁶ The general definition of principle of loyalty is the duty to take the other party's¹⁷ interests and rights into account to a certain degree.¹⁸ This is the most frequently occurring definition in jurisprudence echoed by various scholars¹⁹. Therein lies the question: To what extent must one take the other party's interests into account?

According to Kurkela, the principle of loyalty sets a duty for the parties to take each other's interests into account as long as their own interests aren't compromised by this behavior.²⁰ Karhu notes that, while loyalty is a cooperational duty, parties don't have to put each other's interests above their own, as per freedom of contract. Therefore, parties are allowed to pursue their own goals without it being considered disloyal or against the principle of loyalty.²¹ Karhu also suggests that the absolute minimum set forth by the principle of loyalty, which cannot be excluded by express contract terms, is to refrain from causing the other party harm by reprehensible

¹⁴ Taxell 1972, p. 81. Munukka goes even further, stating that often the principle of loyalty is seen to be applicable to all kinds of contractual relationships, although he recognizes that it is also argued that in some cases the duty of loyalty could be argued to not be applicable. Munukka 2007, p. 1.

¹⁵ Munukka 2017, p. 242.

¹⁶ Nystén-Haarala 1999, p. 202.

¹⁷ Principle of loyalty is applicable also to situations with more than two parties involved. In cases like these, each party is expected to behave loyally towards all of their contracting parties, and reciprocally can then expect loyal behavior towards themselves from the other contracting parties. Karhu 2008, p. 115.

¹⁸ Taxell 1997, p. 46.

¹⁹ This same definition presented by Taxell is also supported by, among others, Karhu (Karhu 2008, p. 101.), Ahlfors (Ahlfors 2019, p. 10.), Munukka (Munukka 2007, p. 1.), Nystén-Haarala (Nystén-Haarala 1999, p. 202.), Hemmo and Hoppu (Hemmo and Hoppu, 2022, 7.SOPIMUKSEN KESKEINEN SISÄLTÖ > Sopimuksen tulkinta > Sopimusten tulkintaperiaatteista > Lojaliteettiperiaate), and Sund-Norrgård (Sund-Norrgård, Kolehmainen, and Suhonen 2015, p. 190.)

²⁰ Kurkela 2003, p. 32. Hemmo also brings up a question about whether loyalty requires refraining from actions permitted by contract and deemed necessary by a party's business judgment, or if it only applies when considering a partner's interest doesn't overly limit one's own rights. Hemmo 2015, p. 112.

²¹ Karhu 2008, p. 110.

conduct. Thus the principle of loyalty cannot thus be completely excluded from a contract.²²

Taxell goes further than merely defining the absolute minimum standard. He suggests that the principle of loyalty requires the parties to refrain from pursuing their interests if this would cause damages or disadvantages to the other party.²³ The principle of loyalty is also seen as more than that. It is a principle rooted in cooperation and can be seen to also encompass the duty to cooperate diligently and actively to contribute to the parties' best interests. It can also be argued that the principle of loyalty contains the duties to protect each other's interests, to work towards the implementation of the contract, and to abstain from exploiting a legal, intellectual, or economic advantage for personal gain.²⁴ The principle of loyalty can thus be seen to include both positive and negative duties.²⁵

Sund-Norrgård sees the principle of loyalty as safeguarding legitimate expectations of parties, basing its contents on the legitimate expectations set forth by the conduct and agreement between the parties or the common practice in the industry. She supports her view by referring to the right of the parties to expect each other to act in a way that is considered "normal" within the specific trade.²⁶ The definition of what is "normal" would vary according to the trade of the contracting parties. Therefore, this view helps to justify the many diverse interpretations of the definition for the principle of loyalty. The extent to which the principle of loyalty affects between contracting parties also depends on the nature of the contractual relationship. The same loyalty requirement mandated in long-term contracts cannot be applied to instantaneous contracts.²⁷ For example, the principle is argued to be heightened in, for example, cooperation agreements.²⁸

The principle of loyalty concerns conduct rather than specific contractual terms.²⁹ It has been a topic of discussion whether the principle is strong enough that a breach of

²² Karhu 2008, p. 106.

²³ Taxell 1972, p. 81.

²⁴ Munukka 2007, p. 84.

²⁵ Munukka 2007, p. 143.

²⁶ Sund-Norrgård, Kolehmainen, and Suhonen 2015, p. 196. See also Karhu 2008, p. 103 and 114, where the author presents a concurring opinion.

²⁷ Munukka 2007, p. 448–449.

²⁸ Streng 2007, p. 126.

²⁹ Sund-Norrgård, Kolehmainen, and Suhonen 2015, p. 192.

the principle would also constitute a breach of the contract itself.³⁰ The Supreme Court of Finland advocated for a strong principle of loyalty, as can be noted below from the case 2010:69.

In the Supreme Court case 2010:69 two companies, a limited partnership (LLP), and a limited liability company (LLC), had entered into a cooperation agreement. Their contract stated that the LLC could terminate the agreement only if it had a valid reason. Later on, the LLC's activities were transferred to another company. This new party then terminated the agreement in response to the market situation and an internal restructuring. The Supreme Court ruled that this had not constituted a valid reason, as the company put no effort into trying to conserve the contractual relationship between the two parties. The Court said that the company's conduct had violated the principle of loyalty and the trust between the parties. The Court also gave importance to the long duration of the contract. This case, in addition to general duty of loyalty and cooperation, can be seen as demonstrating the duty to renegotiate.

The definition set above has also been reflected in legal praxis. Some arbitration tribunals in Helsinki have issued arbitration awards where the principle of loyalty has been present. In one of the awards, the tribunal stated that the parties were required to take each other's interests into account. In another award, the tribunal recognized that the parties had an obligation to inform each other, which was rooted in their duty of loyalty towards each other. In a third award the tribunal stated that neither party was entitled to unconditionally prioritize their own interests over the other's.³¹

In short, the principle of loyalty and its definition set forth in literature are also supported by the Supreme Court and arbitration tribunals.

2.1.1.1.2 Duty to Disclose or Inform

The duty to disclose to or inform the other party is a central topic in jurisprudence and seen as a part of the principle of loyalty.³² In the Supreme Court case 1993:130, a developer made changes to the construction plan during negotiations, which eventually led to the project not meeting the objectives originally set out in the

³⁰ Sund-Norrgård, Kolehmainen, and Suhonen 2015, p. 196.

³¹ Streng 2007, p. 119.

³² Kurkela 2003, p. 31–32.

design. During negotiations, the contractor had understood the overall effects of this change of the plan, but the developer had not. The Supreme Court in its ruling referred to the general terms and conditions of the agreement, which stated that errors like these should be reported to the developer. Even though the terms and conditions primarily concern the contractor's liability during the performance period, the Court ruled that, based on the principle of loyalty, the duty to disclose set in the terms and conditions should be applied pre-contract.

2.1.1.1.3 Other Obligations Deriving from the Principle of Loyalty

Another specific obligation that scholars view as within the scope of the principle of loyalty is the duty to abstain from competing against the other party or their common project.³³ The principle of loyalty can also be seen to give rise to the duty of care or protection. The requirement of loyalty and, thus, the duties of care and protection are heightened when the contracting parties are in an unbalanced situation where a party's ability protect its own interests are very limited or completely lacking when compared to the other party.³⁴ This duty is especially relevant when a contract has been breached.³⁵

Other duties arising from the principle of loyalty include buy-back obligations³⁶, the prohibition of abuse, duty of confidentiality, duty to advise, duty to notify in case of a non-performance or a breach of contract, and the duty to mitigate damages.³⁷ The Supreme Court of Finland has in its ruling KKO 1995:32 stated that the principle of loyalty implies a duty to prevent or mitigate damages. In this case, the failure of a party to mitigate the damages caused to it resulted in lesser compensation.

2.1.1.1.1 Interpretation of a Contract

The principle of loyalty primarily concerns the parties themselves, and not the contract nor its terms.³⁸ However, in addition to setting duties for the contracting parties, the principle of loyalty can also affect the interpretation of a contract. This is especially the case when there are gaps in the contract or the law. In such cases the

³³ Munukka 2015, p. 205.

³⁴ Taxell 1997, p. 66.

³⁵ Taxell 1972, p. 81.

³⁶ Ahlfors 2019, p. 27–28.

³⁷ Munukka 2007, p. 103, 147, 162–163, and 167.

³⁸ Munukka 2017, p. 242.

principle of loyalty can be used to fill in the gaps.³⁹ According to Munukka filling in the gaps is the most noticeable function of the principle of loyalty.⁴⁰ It has also been argued that the principle of loyalty could imply that a party would, in some instances, be obligated to accept even those contract changes to which the contract does not expressly bind them.⁴¹

In addition to supplementing the contract, the principle of loyalty also gives rise to a duty to interpret the contract in a manner that respects the interests of the other party. This may also be an obligation to acknowledge the counterparty's legitimate expectation of certain conduct and to apply this understanding in contract enforcement.⁴²

2.1.1.1.2 Termination of Contract

The principle of loyalty is relevant even when terminating a contract, according to some scholars. However, there is no consensus as to the content of the principle of loyalty or the sanctions for its violation. Case law has established a stance that, upon terminating a contract, parties must reasonably consider the interests of the contracting partner. However, there has been little clarification regarding the balance of interests and the specifics of this consideration.⁴³ For example, the principle of loyalty may come into play when determining what is a reasonable period of notice for termination of a cooperation agreement.⁴⁴

The principle can also manifest itself as an obligation to renegotiate before terminating a contract. However, Ahlfors has pointed out that an obligation to renegotiate stemming solely from the principle of loyalty is not easily justified. This is because the main rule in Finland is that contracts of indefinite duration can be terminated without a duty to renegotiate. Ahlfors suggests that liability for damages stemming from a breach of duty to renegotiate would have to have an additional legal basis.⁴⁵

³⁹ Taxell 1972, p. 75.

⁴⁰ Munukka 2007, p. 92.

⁴¹ Ahlfors 2019, p. 16.

⁴² Munukka 2007, p. 93.

⁴³ Ahlfors 2019, p. 9.

⁴⁴ Ahlfors 2018, p. 788 and 794.

⁴⁵ Ahlfors 2019, p. 10, 21 and 25.

2.1.1.2 Principle of Loyalty in Finnish Legislation

The principle of loyalty itself is not explicitly stated in any laws in Finland. However, various provisions of different laws have been associated with this principle, and it has been acknowledged in certain preparatory works on legislation.⁴⁶ Acts governing contracts in Finnish, Swedish, Norwegian, and Danish all include sections regarding unconscionability/reasonableness⁴⁷ (Section 36) and invoking a transaction in circumstances which are incompatible with honor and good faith⁴⁸ (Section 33). The principle is reflected in articles of specific laws, such as the Employment Contracts Act 26.1.2001/55 (*työsopimuslaki*). However, these specific acts and their provisions are not discussed in detail, as they fall outside of the scope of this study.

Previously, the principle of loyalty was considered a requirement of decency and honesty related to good conduct, and because of this, the Finnish Contracts Act 13.6.1929/228 (*laki varallisuusoikeudellisista oikeustoimista*) Section 33 on circumstances incompatible with honor and good faith was considered related to the principle of loyalty.⁴⁹ Even in a 2006 government bill (RP/241/2006), the Section 33 was viewed to convey the general principle of loyalty.⁵⁰ The reconciliation provision of Section 36 and loyalty resemble each other in their application. Moreover, the rationale behind Section 36 implies reconciliation embodies mutual loyalty between parties. This is because the aim of reconciliation is to make the legal transaction fair by considering the interests of both parties.⁵¹

However, Sund-Norrgård notes that the principle of loyalty should be regarded as an independent principle, rather than being tied to, for example, Sections 33 and 36 of the Finnish Contracts Act.⁵² Other scholars have echoed the same sentiment.⁵³ In addition, the legislature failed to mention loyalty in the preparatory material for the

⁴⁶ Sund-Norrgård, Kolehmainen, and Suhonen 2015, p. 192.

⁴⁷ In Finnish *kohtuuttomuus*.

⁴⁸ In Finnish *olosuhteet, joihin on kunnianvastaista ja arvotonta vedota*.

⁴⁹ Saarnilehto et al. 2023, I LÄHTÖKOHDAT > 3. Siviilioikeuden yleiset periaatteet > Yleisten periaatteiden merkitys ja niiden yhteensovittaminen > Sopimusoikeuden arvotaustan kehitys > Lojaliteettivelvollisuudesta.

⁵⁰ Sund-Norrgård 2011, p. 61.

⁵¹ Saarnilehto et al. 2023, I LÄHTÖKOHDAT > 3. Siviilioikeuden yleiset periaatteet > Yleisten periaatteiden merkitys ja niiden yhteensovittaminen > Periaatteiden yhteensovittaminen > Periaatteiden päällekkäisyys > Kohtuusperiaate ja lojaliteetti and I LÄHTÖKOHDAT > 3. Siviilioikeuden yleiset periaatteet > Kohtuus > Sovittelun lähi-ilmiöitä > Kohtuus ja lojaliteettivelvollisuus.

⁵² Sund-Norrgård 2011, p. 62.

⁵³ Ollila 2016, p. 937, and Ämmälä 2000, p. 7.

Act.⁵⁴ This, however, cannot speak for the significance of the principle of loyalty to these sections, as the preparatory material for the Act was prepared nearly a century ago, before loyalty was developed as a concept of contract law.

2.1.2 Principle of Loyalty in Negotiations

The duties of loyalty emerge from the negotiation phase of a contract and become stronger as the mutual trust between the parties grows.⁵⁵ Specific standards govern how parties conduct negotiations, in order to safeguard the interests and rights of the other party throughout negotiations. This is the principle of negotiation loyalty, by which negotiators must consider not just their own interests but also those of the other party. Fundamentally, this involves disclosing all relevant information to the other party during negotiations, enabling them to make an informed decision regarding their commitment to the agreement.⁵⁶ Many scholars recognize the duty of disclosure as an integral part of pre-contractual negotiation stage loyalty.⁵⁷

Another dimension of pre-contractual loyalty is the requirement of honesty and transparency. Under this requirement, negotiating without a real intent would be a breach. This is corroborated by the Supreme Court of Finland in its ruling KKO 2009:45.⁵⁸ It is also corroborated by the Swedish Supreme Court case NJA 1978, where it ruled that negligent conduct on behalf of a contracting party constituted a breach of the principle of loyalty, and, thus, resulted in liability for the costs incurred by the other party.⁵⁹

In some instances, the principle of loyalty works similarly to the principle of *culpa in contrahendo* in that it can cause parties to be bound by negotiations. This loyalty-based liability usually develops after lengthy negotiations where parties have incurred notable costs.⁶⁰ In addition, a finding of liability requires that the breaching party acted negligently or reprehensibly or has breached the obligation to negotiate in good

⁵⁴ HE 66/1927 vp.

⁵⁵ Ståhlberg 2008, p. 462.

⁵⁶ Ollila 2016, p. 934.

⁵⁷ Scholars supporting this view include, inter alia, Taxell, Häyhä, Simonsen, and Ämmälä. Ollila 2016, p. 935.

⁵⁸ Ollila 2016, p. 942.

⁵⁹ Ollila 2016, p. 948–949.

⁶⁰ Ollila 2016, p. 945–946.

faith.⁶¹ Also, the negotiating parties need to have formed a relationship comparable to a contractual relationship.⁶² The Swedish Supreme Court also stated in its case NJA 1990 that after a certain stage in negotiations, the parties become bound by a certain degree of loyalty.⁶³

2.2 Loyalty in U.S. Contract Law

As the introduction states, the U.S. does not recognize an explicit principle of loyalty. However, a close equivalent is the duty of good faith and fair dealing. In the following subchapters, the contents and application of the duty will be mapped out and, where applicable, compared to the Finnish principle of loyalty.

2.2.1 The Duty of Good Faith and Fair Dealing in Contractual Relationships

2.2.1.1 Codifications of Duty of Good Faith and Fair Dealing

The U.S. duty of good faith and fair dealing, as opposed to the Finnish principle of loyalty, is explicitly stated in U.S. legislation, and set out in both The Uniform Commercial Code (UCC) (Am. L. Inst. 2001) and The Restatement (Second) of Contracts (Restatement) (Am. L. Inst. 1981).⁶⁴ The UCC is a model code that has been implemented by all of the 50 states and the District of Columbia. It governs mostly the sale of goods. The UCC includes § 1 – 201, § 1 – 302, and § 1- 304 that govern the obligation of good faith, which according to the Code “*means honesty in fact and the observance of reasonable commercial standards of fair dealing*”. The Section 1 – 304 sets an obligation of good faith in the performance or enforcement in every contract or duty within the scope of application of the Code.

Different state laws have different codifications of the duty of good faith and fair dealing. For example, the Maine Small Business Investment Protection Act⁶⁵ includes provisions on the duty of good faith, where such a duty is imposed on franchisors. According to the Act, good faith means “*honesty in fact and the observance of*

⁶¹ Saarnilehto et al. 2023, I LÄHTÖKOHDAT > 3. Siviilioikeuden yleiset periaatteet > Yleiset periaatteet > Varallisuus oikeuden periaatteet > Lojaliteetti sopimusneuvotteluissa.

⁶² Ollila 2016, p. 949.

⁶³ Munukka 2017, p. 242.

⁶⁴ Perry 2016, p. 28.

⁶⁵ Sec. 1. 10 MRSA c. 208-C.

reasonable commercial standards of fair dealing in the trade”, which can be observed to be identical to the provision set in the UCC § 1 – 304. This expresses the nature of the UCC’s as a widely accepted model code.

2.2.1.2 *The Duty of Good Faith and Fair Dealing in Common Law and its Application*

The Restatement § 205 governs the duty of good faith and materially corresponds to the Section 1 – 304 of the UCC. The Restatement of Contracts is a part of a series of treatises that aid courts in comprehending and interpreting the prevailing common law. Consequently, the Restatements of Law consolidate and reiterate established case law and statutes from diverse jurisdictions. They are secondary sources of law. Thus, the Restatement (Second) of Contracts is nonbinding and does not replace statutes or precedents.⁶⁶ In the comment A of the Restatement § 205, the purpose of the duty is said to ensure “*faithfulness to an agreed common purpose and consistency with the justified expectations of the part*” while adhering to “*community standards of decency, fairness or reasonableness*”.⁶⁷

While the UCC is mainly about the sale of goods, common law also recognizes a corresponding norm of good faith and fair dealing. Even though the duty of good faith and fair dealing is mandatory in nature, both norms are semi-dispositive and the standard of good faith in performance can be agreed on by the parties as long as the standard is reasonable.⁶⁸ In this aspect, the U.S. duty of good faith and fair dealing differs from the principle of loyalty significantly. The standard for principle of loyalty cannot be lowered by mutual agreement. This contract highlights a divergence between the two systems in their emphasis of freedom of contract. In the U.S., more importance is given to the freedom of contract. In Finland, the principle of loyalty limits the parties’ freedom of contract.

In cases where UCC is unapplicable, differences among states affect the application of the duty of good faith and fair dealing occur on a state level in cases where the UCC is not applicable. For example, Maine and Texas supreme courts have in the past imposed restrictions of varying severity on applying the covenant of good faith and

⁶⁶ Cornell Law School Legal Information Institute, *Restatement of the Law* [website], https://www.law.cornell.edu/wex/restatement_of_the_law (updated August 2020, accessed 19 April 2024).

⁶⁷ Summers 1982, p. 821.

⁶⁸ Munukka 2007, p. 44–45.

fair dealing outside of the scope of application of the UCC, where Texas Supreme Court recognizes the duty of good faith and fair dealing only in special relationships, such as those where an imbalance in power or a significant shared trust between contracting parties is present. Also, Indiana has refused to apply the implied duty of good faith and fair dealing to all contracts, and in most cases only recognizes such duty regarding ambiguous clauses.⁶⁹

In Maine, the courts have been even more reluctant in applying the duty outside of the scope of the UCC. The State Supreme Court of Maine refused to do it in a 1998 ruling.⁷⁰ In Louisiana, on the other hand, the duty of good faith is recognized throughout the contract law system.⁷¹ The courts in Delaware also recognize the duty as a general principle of contract law.⁷² According to MacMahon, most states now recognize the duty of good faith and fair dealing as a general contract law duty with similar contents as that under the Restatement.⁷³

The duty of good faith and fair dealing in the UCC includes the duties to minimize damages and perform in good faith, which aim to protect the expectations of parties. In addition to these, the duty of good faith is also used to fill in gaps in contracts. Further, it has an enhancing effect on the standards of contract interpretation.⁷⁴

As with the principle of loyalty, it is unclear how a breach of the duty compares to a breach of an express contract term. In some ways, the failure to perform in good faith is both alike and unlike a “regular breach”.⁷⁵ The principles can be seen as coming closer together, as in the 2013 case *Beidel v. Sideline Software Inc.* the Supreme Court of Wisconsin referred to the duty as a duty of cooperation.⁷⁶

The duty of good faith also imposes limitations on parties’ discretion in contract performance, where they must refrain from actions that would threaten the other party’s expectations or interests.⁷⁷ In this aspect, the duty of good faith resembles the principle of loyalty. However, the duty of good faith does not impose as far-reaching a

⁶⁹ Caruso 2007, p. 213.

⁷⁰ Munukka 2007, p. 43.

⁷¹ Munukka 2017, p. 231.

⁷² Altman and Raju 2005, p. 1475.

⁷³ MacMahon 2015, p. 2063.

⁷⁴ Burton 1981, p. 2–3.

⁷⁵ Burton 1980, p. 378.

⁷⁶ MacMahon 2015, p. 2064.

⁷⁷ Burton 1981, p. 5–6, 20.

requirement to safeguard and promote the interests of the other party. Rather, it settles with the requirement to refrain from harming the other party's interests. The parties are only required to honor the terms of the contract.⁷⁸ Unlike the Finnish principle of loyalty, the duty of good faith seems to mostly be limited to the contract and its terms. The duty is limited to the performance and execution of express contract terms.⁷⁹ The duty of good faith does not cover the abstract contractual relationship or mutual trust that parties may have built outside of express terms of the contract.

Delaware courts, for instance, have expressed that even though “*contracting parties are, to a large extent, entitled to act selfishly to promote their own interests under the contract*”, the duty of good faith and fair dealing creates limits to this right.⁸⁰ For example, a party may not renegotiate or rescind a contract strategically to take advantage of the other party's vulnerabilities.⁸¹

While, on paper, the duty of good faith and fair dealing imposes obligations, U.S. courts have failed to fully enforce the duty. The proof for this is that practical application of good faith has not matched its theoretical definition. Instead, courts have applied the duty cautiously. For the duty to be applied, courts often require a bad motive on behalf of the breacher, and a heightened burden of proof may be imposed on the plaintiff.⁸²

Thus, courts in the U.S. have restricted the scope of the duty.⁸³ In the 1991 case of *Market Street Associates Limited Partnership v. Frey*, the U.S. Court of Appeals for the Seventh Circuit stated that no altruistic behavior between contracting parties is required. The court stated that, even if a party struggles to perform according to contract, the other party does not need to relax the terms.

⁷⁸ Markovits 2014, p. 280.

⁷⁹ Conway 2007, p. 4.

⁸⁰ Altman and Raju 2005, p. 1476–1477.

⁸¹ Markovits 2014, p. 274.

⁸² MacMahon 2015, p. 2066–2067.

⁸³ Gillette 1981, p. 620.

2.2.2 The Duty of Good Faith and Fair Dealing in Precontractual Negotiations

The prevailing view amongst scholars is that American law does not recognize any general pre-contractual duties of good faith.⁸⁴ Both the UCC and the Restatement govern only contractual duties of good faith and fair dealing. Any precontractual liability must have a common law basis, as it lacks a legislative legal basis.⁸⁵

Nonetheless, legal literature and case law has associated the duty of good faith with the duty of disclosure in contract negotiations.⁸⁶ In the 1888 case of *Stewart v. The Wyoming Cattle Ranch Co.* the Supreme Court referred to good faith in its reasoning when ruling that the defendant had given false representations of the ranch that was the subject of the sale in the contract. According to the Court, there are material facts that are required by good faith to be disclosed to the other party of the contract.

After the ruling in *Stewart v. The Wyoming Cattle Ranch Co.*, other courts followed suit. By a little over a century later, a precontractual duty of good faith was recognized by federal courts, at least 28 states, and the District of Columbia.⁸⁷ However, recent legal literature argues that American courts do not apply the duty of loyalty to precontractual negotiations.⁸⁸

Thus, whether U.S. courts recognize a precontractual duty of good faith and fair dealing is under dispute. Some scholars debate whether the ruling *Stewart v. Wyoming Cattle Ranch Co.* and those following actually expressed duty of good faith and fair dealing per se, or rather a form of fraud. The latter would be in line with the majority of scholars that deny the existence of a general duty of good faith and fair dealing in precontractual negotiations.

In conclusion, the duty of good faith and fair dealing contains a duty of disclosure. The duty also applies to parties not bound to an express contract, but where a contract has been *de facto* formed through very advanced negotiations.⁸⁹ This is in

⁸⁴ Munukka 2007, p. 91–92. Similarly in Perry 2016, p. 29, although a statutory duty to negotiate in good faith is recognized in some specific cases.

⁸⁵ Munukka 2007, p. 46–47.

⁸⁶ Palmieri 1993, p. 151–152.

⁸⁷ Palmieri 1993, p. 152, 157–160.

⁸⁸ MacMahon 2015, p. 2057.

⁸⁹ In such cases the promises made during negotiations must *de facto* amount to a contract with clear terms. Nedzel 1997, p. 131.

significant contrast to the Finnish principle of loyalty, which imposes precontractual liability even without the need for “advanced negotiations”.

2.3 Conclusion on the Principles

Though Muukkonen has advocated for a more concise definition of the principle of loyalty, excluding some aspects of the duty to disclose⁹⁰, the majority of scholars support the broader scope of principle of loyalty and all its encompassed duties. Muukkonen remains in the minority. The duty of disclosure remains an integral part of the principle.

Among Muukkonen’s arguments for a narrow scope, he claims it has practical value.⁹¹ However, there is little evidence to support this argument, given that broad interpretation of the principle of loyalty is supported by case law. If a broad scope was impractical, courts may not have adopted it.

For these reasons, a broad definition of the principle, containing all aforementioned duties, is used when examining how the principle of loyalty affects copyright and trademark licensing agreements.

The Finnish principle of loyalty can be applied throughout different stages of a contract. The principle encompasses various duties and obligations. It guides parties to consider each other’s interests and rights. The obligation to take the other party’s interests into account varies according to the circumstances and is particularly heightened in long-term and complex contractual relationships. Some duties imposed by the principle are the duty to cooperate, duty to disclose, and duty to negotiate in good faith. The principle of loyalty also influences contract interpretation. Breaching the principle can result in liability for damages.

The duty of good faith and fair dealing in U.S. contract law serves as a counterpart to the principle of loyalty found in other legal systems. Codified in legislation such as The Uniform Commercial Code and The Restatement (Second) of Contracts, it entails

⁹⁰ Ämmälä 2000, p. 9.

⁹¹ Streng 2007, p. 123.

honesty, adherence to reasonable commercial standards, and faithfulness to common expectations.

Unlike the Finnish principle of loyalty, the U.S. duty can be modified by mutual agreement. The duty of good faith and fair dealing is subject to varying interpretations across states. While it primarily focuses on refraining from actions that harm the other party's interests, it lacks the broader scope of the principle of loyalty. Practical enforcement of the duty of good faith and fair dealing in U.S. courts has been limited, often requiring evidence of bad motive, and imposing a heightened burden of proof on plaintiffs.

Furthermore, where the duty of good faith and fair dealing is applicable to a situation, the courts tend to be very conservative with the extent to which the duty is applied to a situation. Another significant difference between the principle of loyalty and the duty of good faith and fair dealing is, that American law generally does not recognize a pre-contractual duty of good faith in negotiations although it has been associated with the duty of disclosure in certain cases, whereas in Finland the principle of loyalty is often applied to precontractual negotiations as well.

3 What Are Copyright and Trademark Licensing Agreement?

3.1 Copyright and Trademark Law in Finland and the U.S.

In Finland, copyrights are regulated by the Copyright Act (*tekijänoikeuslaki*). According to the Copyright Act section 1, literary and artistic works have copyright protection. Some works mentioned in the section are musical or dramatical work, artistic handicraft, industrial art, and computer programs. The list in section 1 is not exhaustive.⁹² In the U.S. copyrights are regulated on a federal level in the Title 17 of the United States Code. The subject matter and scope of copyrights under the United States Code are substantially equivalent to those of the Finnish Copyright Act.

A copyright includes economic rights. Finnish Copyright Act section 2 includes as economic rights the right to reproduction, right to publish the work, right to alter, right to publish it in adaptation or translation, and right to make copies of the work. The United States Code section 106 on exclusive rights in copyrighted work is substantially the same as the Finnish section 2. One significant difference between the systems is that, while neither system requires registration for a copyright, U.S. at least provides for registration, while Finland does not. The most important effect of registration is that, according to the United States Code §412, certain remedies require for the copyright to be registered.

A copyright also can include personal rights.⁹³ Finnish Copyright Act section 3 includes “moral rights” which govern author credit and limits to alterations so as to protect the artist’s reputation or individuality. Similarly, the United States Code section 106A includes provisions on moral rights. The section covers rights of attribution and integrity in a similar way as the Finnish section, but instead of requiring to properly give credit to the author, it is concerned with the author’s right to claim authorship. Another difference is the U.S. section only applies to visual artists, and other forms of art don’t entail moral rights for their authors.

In the U.S. the duration of a copyright turns on the date the work was created. According to § 302, if the work was created on or after January 1, 1978, the copyright will generally last for the duration of the author’s life and 70 years after. According to

⁹² Haarmann 2014, p. 52.

⁹³ Streng 2007, p. 130.

§ 303, older works generally follow the same rule as those created on or after January 1, 1978, with the addition that if a work wasn't published or registered before that date, it would be considered to be created on January 1, 1978, and from that point onwards endure for the period set in § 302, with some exceptions where the duration is 90 or 120 years.⁹⁴ In Finland, the duration of copyright is generally the same as in the U.S., with the exception of some photographs, which have a duration of 50 years from the day the photo was taken.⁹⁵

In Finland, trademarks are regulated by the Trademarks Act (*tavaramerkkilaki*). According to the section 1, trademark is “*a sign, used in trade as a symbol for goods and services, to which exclusive rights have been obtained in accordance with the provisions of this Act*”. One of the biggest differences between a trademark and copyright to a work is that where copyright is something that is inherently there from the birth of the work onwards, trademarks need to be explicitly obtained either through registration or establishment through continuous usage⁹⁶.

In the U.S., trademarks are regulated on a federal level in the Lanham Act⁹⁷ and in the U.S. Trademark Rules of Practice, 37 C.F.R. pts.2, 3, 6-7, and 10-11. A trademark can be any symbol, word, phrase, design – or a combination of them – identifying a business or its goods. A trademark does not need to be registered. Instead, it gets protection as soon as it is put to use. Registering a trademark strengthens its protection from regional to federal level.⁹⁸ A trademark that is not registered is referred to as a common law trademark, and it provides protection only within a specific geographic area.⁹⁹ In both Finnish and U.S. legislation, a requirement for distinctiveness is recognized. Unlike in Finland, in the U.S. a distinction is made between service- and trademarks. Trademarks are used to identify the commercial

⁹⁴ U.S. Copyright Office 2024, p. 1.

⁹⁵ Kopiosto, *Tekijänoikeuden ABC* [website], [https://www.kopiosto.fi/kopiosto/tekijanoikeustietoa/tekijanoikeuden-abc/#:~:text=Tekijänoikeus%20on%20voimassa%20tekijän%20eliniän,70%20vuotta%20hänen%20k uolemansa%20jälkeen.](https://www.kopiosto.fi/kopiosto/tekijanoikeustietoa/tekijanoikeuden-abc/#:~:text=Tekijänoikeus%20on%20voimassa%20tekijän%20eliniän,70%20vuotta%20hänen%20k uolemansa%20jälkeen.,), (accessed April 21, 2024).

⁹⁶ According to the Trademark Act section 4, a trademark is considered to be established when the relevant public associate it with the business or goods its used in connection with.

⁹⁷ Officially the Trademark Act of 1946, as amended.

⁹⁸ United States Patent and Trademark Office, *What is a trademark?* [website], <https://www.uspto.gov/trademarks/basics/what-trademark>, (accessed April 21, 2024).

⁹⁹ United States Patent and Trademark Office, *Why register your trademark?* [website], <https://www.uspto.gov/trademarks/basics/why-register-your-trademark>, (accessed April 21, 2024).

origin of goods, whereas service marks are used to identify the source of the service.¹⁰⁰

In Finland, the duration of a trademark registration according to the section 30 is 10 years. In the U.S., the Lanham Act § 8 (15 U.S.C. § 1058) registration period is also 10 years. In both systems, a trademark registration can in theory last forever, so long as the registration is renewed according to requirements set forth in legislation.

3.2 Copyright and Trademark Licensing Agreements in Finland and the U.S.

As stated in the introduction, copyright and trademark licensing agreements are vehicles to monetize one's intellectual property without giving away ownership.¹⁰¹ When an intellectual property right is licensed, the licensor gives the licensee the right of usage of the property subject to the terms set forth by the licensor.¹⁰² These terms usually include defined purpose, territory, and period of time.¹⁰³ This right of usage is usually given in exchange for a royalty payment and other commitments.¹⁰⁴ Licensing agreements generally don't have any format requirements, with the exception of registered trademark licenses, which are required to be in writing.¹⁰⁵

Under Finnish legislation, a licensing agreement is treated as a lease of movable property. However, the provisions regulating lease of movable property aren't quite applicable to licensing agreements. The Sale of Goods Act (*kauppalaki*) which applies to movable goods, is also not directly applicable to license agreements. The applicable legislation in Finland is thus the Contracts Act and some other acts analogously.¹⁰⁶ Licensing agreements regarding the licensing of copyrighted work or trademark are partially governed by the applicable intellectual property laws mentioned previously. However, provisions relating to licensing agreements are few and far between, and for the most part non-mandatory.¹⁰⁷

¹⁰⁰ Desforges 2001, p. 14.

¹⁰¹ Hemmo and Hoppu 2022, 15. JAKELUSOPIMUKSET > Lisenssisopimus.

¹⁰² Aalto-Setälä et al. 2016, p. 287.

¹⁰³ World Intellectual Property Organization and the International Trade Center 2010, p. 14.

¹⁰⁴ Werra 2013, p. 222.

¹⁰⁵ Desforges 2001, p. 16.

¹⁰⁶ Saarnilehto et al. 2023, VII SOPIMUSTYYPEISTÄ > 7. Yhteistoimintasopimukset > Lisenssisopimus > Erityissääntelyn ja yleisten oppien soveltaminen lisenssisopimukseen > Yleisesti erityissääntelyn ja yleisten oppien soveltamisesta > Yleistä.

¹⁰⁷ Sund-Norrgård 2012, p. 296–297.

As contract law in the U.S. is mostly regulated at the state level and through common law, different states may have different regulation regarding licensing agreements. For instance, franchising agreements – which have in their core a trademark license¹⁰⁸ – are often regulated in separate acts at either federal or state level, as seen above in the case of Maine.¹⁰⁹ Other possibly applicable laws can be at the state level: 1) state common law of contracts, 2) state common law of property, 3) the enacted UCC, 4) state statutory law on licensed intellectual property rights, or 5) state common law on licensed intellectual property rights, and on federal level 1) federal statutory law on licensed intellectual property rights, or 2) federal common law on licensed intellectual property rights.¹¹⁰

¹⁰⁸ Levinson and Chronowski 2003, p. 97.

¹⁰⁹ At the federal level the primary regulation is FTC Franchise Rule. In addition to this, 24 states have their own franchise disclosure and relationship laws. Märzheuser-Wood and Baggott 2015, p. 1.

¹¹⁰ Contreras 2022, p. 51.

4 How Do Principles of Contract Law Governing Loyalty Affect Copyright and Trademark Licensing Agreements?

In Finland, one of the functions of loyalty in intellectual property law is to explain and clarify the relationships and responsibilities of parties involved.¹¹¹ As licensing agreements are often long-term, the need for loyalty between contracting parties is heightened.¹¹² As covered in chapter 3, copyright and trademark licensing agreements are treated like other similar contract types, and are mainly governed by the Contracts Act and applicable intellectual property laws.

In the U.S., due to the structure of the legal system, the possible bodies of law governing copyright and trademark licensing agreements are numerous. On the one hand, there is the division between federal and state law. On the other, there is the division between statutory and common law. Therefore, in addition to federal laws, intellectual property can be governed either in specific statutes, state enacted forms of the UCC, common law of property, or common law of contracts.

Thus, the baseline for applying the principle of loyalty or the duty of good faith and fair dealing to copyright and trademark licensing agreements is equivalent to that covered in chapter 2. But this chapter will delve more deeply into how the principles of contract law governing loyalty affect licensing agreements, and what specialties arise from licensing agreements in terms of loyalty.

4.1 Loyalty in Precontractual Negotiations

In Finnish licensing agreements, which are based on mutual trust, the requirement for loyalty in precontractual negotiations is heightened. It has even been argued that, in negotiations, parties owe each other their best efforts to come to an agreement. The principle of loyalty applies to the negotiations regardless of whether the parties reach an agreement.¹¹³ The rule of thumb regarding liability is that all parties assume their own risk in negotiations, no matter how long they last for. The principle does,

¹¹¹ Karhu 2008, p. 104.

¹¹² Munukka 2015, p. 211.

¹¹³ Sund-Norrgård 2011, p. 85.

however, impose a duty on parties to take into account each other's interests and follow good commercial practice.¹¹⁴

An example of such a situation where precontractual liability could come to question is if the other party wants to amend contract terms after a letter of intent regarding them has been signed. As with precontractual application of the principle of loyalty, licensing agreements also follow the same approach as general contracts with imposing duties of cooperation on the parties.¹¹⁵

Thus, with regard to loyalty in precontractual negotiations, licensing agreements follow the general approach in contract law to a great extent, plus a heightened importance on loyalty due to licensing agreements being long-term contracts.

As in Finland, in the U.S., the same loyalty applied generally to contract negotiations applies to licensing agreement. According to the Restatement (Second) of the Law of Contracts § 205, cmt. c, the implied duty of good faith and fair dealing does not encompass bad faith in contract negotiations; instead, bad faith in negotiations is addressed through concepts such as fraud in the inducement or the absence of agreement.

As already established, a general duty of good faith and fair dealing in precontractual negotiations is a disputed. However, as agreements are mostly governed by contract law statutes or at least common law, parties negotiating a licensing agreement are required to show the same level of loyalty as with other types of contracts. However, exceptions exist for special legislation on some types of contracts, such as in the case of franchising agreements.

Thus, Finland and the U.S. differ in this respect. This is important when thinking of the international nature of contract law. When parties have no contractual relationship, a question arises as to which country's laws and principles are applicable. For example, if a Finnish entrepreneur and an American franchisor negotiate over a franchising agreement that includes a trademark licence, which country's approach to loyalty applies?

¹¹⁴ Oesch et al. 2007, p. 21–22.

¹¹⁵ Oesch et al. 2007, p. 24.

If the American franchisor withdraws from negotiations in bad faith, can the Finnish entrepreneur refer to the duty to negotiate in good faith and the liability imposed by the principle of loyalty? This study will not answer this question, as it is choice of law. However, it showcases why comparative studies like this are important. Without comparative law, questions relating to conflict of laws could be left unanswered, leading to insecurity in the commercial world or unexpected losses due to the uncertainty.

4.2 Contract-Based Loyalty

4.2.1 The Finnish Principle of Loyalty

4.2.1.1 In Legal Literature

As licensing agreements are contracts and fall under the scope of the Contracts Act, the effects of principle of loyalty on general contract law also apply to licensing agreements. Therefore, the principle of loyalty can manifest in various ways, such as a duty to renegotiate, duty of disclosure, duty of cooperation, duty to refrain from competing acts or performance, and duty of confidentiality. The principle of loyalty can also modify express contract terms and fill in gaps, as well as guide in contract interpretation.

Copyright and trademark licensing agreements include objects regulated by intellectual property laws and that differ from traditional goods in a number of ways. In addition, licensing agreements differ from traditional contracts in that they typically have a higher level of relationality. This is because they are often meant to be long-term, so they require a more cooperation and trust. The degree of relationality of a contract affects the importance put on principle of loyalty.¹¹⁶ Relational contracts are contracts that “*create unique, interdependent relationships, wherein unknown contingencies or the intricacy of the required responses may prevent the specification of precise performance standards.*”¹¹⁷

¹¹⁶ Sund-Norrgård 2011, p. 133.

¹¹⁷ Goetz and Scott 1981, p. 1092.

Licensing agreements are easily categorized as relational contracts, as they are long term and create interdependent relationships between the contracting parties.

Franchising agreements, in particular, are very relational, because as they form a very tight bond based on cooperation. Also, as broad and complex packages, they may include unknown contingencies.

As copyright and trademark licensing agreements most often are categorized as relational agreements, obligations of loyalty are also far-reaching. In such contracts, obligations set out by the principle of loyalty can be seen as implied terms of the contract.¹¹⁸ This has less to do with intellectual property rights and more with the nature of licensing agreements. It can be argued that a licensing agreement for real-estate could reach the same level of relationality, and thus, the same loyalty owed.

It has been suggested in legal literature, that there are two distinct types of principles of loyalty in relation to copyright licensing agreements: 1) general principle of loyalty, and 2) specific principle of loyalty. The distinction is made on the origins of the loyalty. In the general principle of loyalty, the obligation is present even without an explicit mention. In the case of the specific principle of loyalty, the obligation is derived from copyright law. However, this distinction between regular contracts and copyright licensing agreements is merely a matter of presentation. It does not affect the agreement itself or the parties.¹¹⁹

The principle of loyalty can affect the parties to a copyright licensing agreement in far-reaching ways. For example, in a publisher-author relationship, the publisher is obligated to inform the author of other works they are planning to publish, if those works are in the author's field.¹²⁰ This constitutes an extensive duty to disclose, as it requires a publisher to disclose business strategies to clients.

In some cases, the disclosure can even be detrimental to the publisher. For example, when negotiating a publishing contract or continuation of a pre-existing one, the author might gain unfair advantage knowing how many other projects the publisher has planned and adjust their offer based on that information. In an author-publisher relationship, the publisher is assumed to be in a stronger position. This is because the

¹¹⁸ Sund-Norrgård 2011, p. 133.

¹¹⁹ Streng 2007, p. 131.

¹²⁰ Streng 2007, p. 134.

publisher typically has more resources and know-how. This makes it harder to show a disclosure would cause actual detriment.

The duty to disclose can also appear as a duty to notify the contracting partner of external threats. In terms of copyrights and trademarks, such a threat would be either an infringement or a suspicion of one.¹²¹ This is based on the idea that, as the licensee is the one actively on the market, they will be the first to notice an infringement. Then, the principle of loyalty would obligate the licensee to inform the licensor of the infringement, as it is in the licensor's interest.¹²² It has been argued in legal literature, that in cases of exclusive licenses, such an obligation would exist even without an express term. This would be especially be the case if such infringement demanded legal actions on behalf of the licensor.¹²³

The principle of loyalty restricts both the author and the licensee from exploiting the work beyond what is set forth in the contract. This can mean for example, that the author might not be able to exploit other exclusive rights belonging to them if such conduct would result in detriment to the other party.¹²⁴

Moreover, the principle of loyalty can entail a duty of non-competition to the assignor of a copyright.¹²⁵ For copyright licensing this would likely mean refraining from working with the competition as well as for the licensor from directly competing with the licensee. The importance of such an obligation in a copyright licensing agreement is heightened when comparing to other types of contracts, as the subject of the agreement is extremely unique and tied to the specific licensor.

Due to the unique nature of copyrighted works, a non-competition obligation can be essential to the licensee to maintain the value of the copyrighted subject and thus the value of the entire agreement. For instance, if a licensor grants a license to an artwork to store A, then grants a license to the same artwork or to something very similar to competing store B, then the value that the license brings store A would decrease as the store would not be the sole provider of the product. With copyrighted material,

¹²¹ Sund-Norrgård 2011, p. 246.

¹²² Sund-Norrgård 2011, p. 247.

¹²³ Sund-Norrgård 2011, p. 246. This view was presented regarding patent licensing agreements but is now analogically applied also to copyright and trademark agreements.

¹²⁴ Nordell 2008, p. 326.

¹²⁵ Sund-Norrgård 2011, p. 94.

much of the value of the work comes from its uniqueness. So, having something very similar or equal in the market would dilute its value.

Conversely, the principle of loyalty can also obligate the licensee to refrain from conduct that reduces the goodwill of the work or the author's business. This obligation is especially far-reaching with pre-existing works and works of a distinctive nature, or by authors with established goodwill or significant attention value.¹²⁶ Thus, obligations that apply to copyright licensing agreements affect both parties.

A similar non-competition obligation could also be applicable for trademark licensing agreements to a similar degree. The author's unauthorized profit from using their work in a way that leads to the licensee's loss of goodwill can be a breach of the principle of loyalty. This application of the principle limits the author's rights to use their work in advertising of their own or others' products.¹²⁷ For example, the principle of loyalty could prevent a trademark licensor from assigning the right to use to a licensee and, after observing the business and its profitability, offering services or goods under the same trademark. This would be considered disloyal behavior.

The principle of loyalty can impose a duty on the licensor to notify the licensee if they are not content with their performance and also to allow them to correct it before terminating the agreement.¹²⁸ The licensee is highly dependent on the contractual relationship with the licensor, because, in many cases, only that specific licensor can provide them with the work or service they need.

For this reason, the principle of loyalty can affect the obligation to renegotiate and the requirements of good faith termination. To revisit the prior example: If a store licenses a set of artworks from an author to print on clothes and the author retracts that license, the store could not easily, if at all, replace the licensor. This would hurt the store's business, as the new product would end up very different.

Another area where the principle of loyalty affects copyright licensing is moral rights of authors. The intimate bond between an author and their creation shapes the importance given to the principle of loyalty in copyright law. Streng even suggests

¹²⁶ Nordell 2002, p. 117.

¹²⁷ Nordell 2002, p. 117.

¹²⁸ Sund-Norrgård 2011, p. 216.

that the principle of loyalty comprises more varied characteristics in copyright law than in general contract law. Streng states that, due to the personal nature of copyright agreements, the principle of loyalty has heightened importance – especially when regarding an author’s moral rights.¹²⁹ The principle of loyalty imposes a duty of care or diligence when applied to copyright licensing agreements.¹³⁰

In trademark licensing, the principle of loyalty is slightly different way than in general contracts. When defining the interests of the party that the other must take into account, relevance is given not only to the subjective individual interests of the party, but also to the intent behind the trademark rights. This is because trademark rights are not established solely for the private interests of rights holders.¹³¹

Principle of loyalty obligates trademark licensors to abstain from conduct that could negatively affect the licensee’s ability to capitalize on the rights they are granted. In practice, this could mean that the licensor establishing a new very similar trademark in the same field after licensing their trademark to a licensee, could very well be considered a breach of the principle of loyalty.¹³² From a practical view, this approach is sensible, given that a trademark’s entire value is tied to the brand it reminds people of. Even public confusion over two trademarks can diminish their value drastically. This is why distinctiveness is so central to trademark law.

4.2.1.2 In Case Law

Very few cases concerning the principle of loyalty and copyright or trademark licensing agreements have gone to court in Finland, so there is not much precedent for what is a breach of loyalty or what the principle of loyalty demands from parties.

However, the Market Court of Finland gave a ruling 659:18 in 2016 concerning a licensing agreement and breach of loyalty. The dispute was between Haahtela-kehitys Oy, a construction software developer, and Rapal Oy, a company specializing in workplace services and software. Haahtela-kehitys Oy owned a software called TAKU, which was licensed for construction project budgeting. The software was previously licensed to Rapal Oy until 2016. Haahtela-kehitys Oy’s allegations suggest that Rapal

¹²⁹ Streng 2007, p. 133.

¹³⁰ Streng 2007, p. 136.

¹³¹ Korhonen 2007, p. 574–575.

¹³² Sund-Norrgård 2011, p. 94.

Oy used TAKU beyond its license terms, breaching loyalty to Haahtela-kehitys Oy. Haahtela-kehitys Oy argued that the fact that Rapal Oy had enabled its customers to use data produced by TAKU without a license through its software for a fee constituted disloyal conduct against Haahtela-kehitys Oy. The Market Court referred to the contract terms and stated that as Rapal Oy's conduct wasn't against the contract terms, nor was it in breach of the Copyright Act, Rapal Oy couldn't either be seen as having acted disloyally against Haahtela-kehitys Oy.

The Court based its stance on the fact that Haahtela-kehitys should have known that, when entering into the contract, Rapal Oy had the impression that the software could be used on other types of projects that were mentioned in Haahtela-kehitys Oy's general terms and conditions (that weren't signed by Rapal Oy). Because Haahtela-kehitys Oy should've known this, the Court ruled that Rapal Oy acting in line with the reasonable expectations it could've had in terms of the usage of the software could not be considered as disloyal. The Court thus seems to have given importance to the reasonable expectations of Rapal Oy.

In another case KKO 2018:37, this time from the Finnish Supreme Court, two parties had entered into an agreement, where a party M Oy had granted a license to the other party SK Oy to use its trademark in the coffee cups that the other party manufactured. The licensor also routinely bought a part of the manufactured cups to its own use and allowed SK Oy to sell the rest to retailers. The licensing agreement thus allowed the utilization of M Oy's trademark in manufacturing and distribution of goods. M Oy gave notice of the termination of the agreement approximately four months in advance, which led to SK Oy not being able to sell all of the stock. SK Oy demanded that M Oy pay damages for the cups left unsold.

In the case, the Court stated that the main rules with contracts that are valid for an indefinite period is the free right of termination and reasonable period of notice. The Court ruled by majority vote that SK Oy should have been prepared for the agreement to someday be terminated, and, thus, should have anticipated some production cost going to waste. The Court ruled that M Oy had reasonably considered SK Oy's interests and was not liable for damages. Even though the Court did not explicitly reference the principle of loyalty, it was implicitly stated in the opinion. The

legitimate expectations the principle of loyalty protects must be defined based on the established customary interaction between the contracting parties.¹³³

The dissenting opinion judges agreed with the majority on the reasonableness of the period of notice, but instead focused on the M Oy prohibiting the SK Oy from selling the remaining stock after the agreement ended. The dissent referred to the DCFR rules governing situations where a party manufactures another party's goods. A specific provision stated that the party whose products are manufactured is obligated to buy the remaining stock if the manufacturing party cannot reasonably resell them. The dissent referred to the principle of loyalty by stating that M Oy failed to notify SK Oy well in advance when it discovered that its need for supply would significantly decrease, and it also failed to renegotiate the termination so that SK Oy would suffer the least damages possible.

Ahlfors criticized the dissenting opinion. She argued that the Finnish system does not recognize the principle of loyalty as an independent legal rule in the sense that it cannot by itself give rise to liability for damages.¹³⁴ This shows how the principle of loyalty's ability to independently give rise to liability is contested.

The Supreme Court in this case saw the principle of loyalty more as a guiding principle than an independent legal norm. The Court gave no special meaning to the nature of the agreement as trademark licensing, or how trademark infringement rules specifically made it impossible for SK Oy to sell the remaining stock. It can be asked whether the Court should have considered the matter of infringement, looking at the result of the ruling and the losses SK Oy suffered. A different approach would have perhaps served better to enforce the principle of loyalty.

The majority opinion's limited recognition of the duty of loyalty, in this case, leaves the licensee of very vulnerable, due to the unique nature of intellectual properties. Licensees of intellectual property require further protections, because a license for intellectual property is, in essence, authorization to do something which is otherwise illegal. This translates to the licensee having fewer commercially strategic options to mitigate their damages after being given notice of termination.

¹³³ Ahlfors 2018, p. 796.

¹³⁴ Ahlfors 2018, p. 797–798.

4.2.2 Good Faith and Fair Dealing in the U.S.

4.2.2.1 Application of the Duty of Good Faith and Fair Dealing

With an abundance of case law, the effects of an implied duty of good faith and fair dealing to copyright and trademark licensing agreements is best observed by how the courts have interpreted the duty and to what extent it has, in court praxis, given rise to new obligations.

With copyright and trademark licensing agreements, it must be noted that the UCC is not applicable, and, thus, the model act and its state implemented versions are not applicable either unless otherwise provided in state legislation. This can lead to differences in application and scope of the duty at the state level, which should be kept in mind when applying precedents from other states. The UCC's effect on copyright and trademark licensing agreements is primarily analogous.

In the United States District Court for Middle District of Florida Orlando Division case of First Nationwide Bank ("FNB") v. Florida Software Services ("FSS"), First Nationwide Bank filed a declaratory judgement action against The Kirchman Corporation ("Kirchman") and Florida Software Services. FNB claimed to not have breached licensing agreements concerning a computer software, to which Kirchman and FSS filed a counterclaim. In the case, Kirchman and FSS had licensed their software to two savings and loan associations that later went insolvent and were acquired by FNB.

The licensing agreements of the two acquired associations had had non-assignment clauses. With reference to these clauses, Kirchman and FSS notified FNB that they would be terminating the agreements as the acquisition had been in violation of the non-assignment clause and demanded FNB to return the computer system within 10 days of the notice. Alternatively, they told FNB that they could keep the licensing agreements in force for an increased licensing fee. When FNB refused these conditions, Kirchman and FSS stopped providing customer service and technical support. The Court ruled that as the refusal to accept the assignment of the licensing agreement was only due to FNB refusing to pay substantially increased licensing fees, the conduct of Kirchman and FSS was in breach of the duty of good faith and fair dealing.

Here, the implied duty of good faith and fair dealing resulted in the express term being interpreted in line with the duty. So, even though the express term would, in theory, allow for this conduct, the clause included an implied duty to implement the clause in good faith, and not just for the party's own gain. So, though the express terms allowed termination based on unnotified acquisition without advance consent, FSS's attempt to use the condition to its own advantage by trying to coerce FNB into agreeing to higher licensing fees rendered the conduct a breach of duty.

Importance was also given to the fact that FSS had at first shown that it accepted the acquisition, and, only after a while, demanded termination unless FNB agreed to higher fees. This can be seen as the duty of good faith and fair dealing protecting the reasonable expectations of FNB, which is also in the core of the Finnish principle of loyalty. The ruling reflects the Court's intent to enforce the duty of loyal behavior towards a contracting partner in a similar manner as the courts would in Finland.

In another case about software licensing agreements, the United States District Court for the Western District of Wisconsin ruled that, if factually proven true, the defendant's conduct could be breaching the duty of good faith and fair dealing. In the case of Epic Systems Corporation ("Epic") v. Attachmate Corporation ("Attachmate"), the plaintiff Epic claimed that Attachmate had breached the duty of good faith and fair dealing by first allowing the plaintiff's unauthorized use and later conducting an audit then accusing Epic of facilitating the unauthorized use of its software in breach of Attachmate's copyrights and a rental provision of the agreement, and on grounds of this, demanding unreasonable licensing fees.

In the case, the Court agreed with the defendant that the plaintiff violated the defendant's copyrights, but disagreed with the claim the plaintiff breached an express provision. However, the Court sided with the plaintiff. The Court stated that an implied duty of good faith and best efforts is included in all contracts under Washington law. Further, the Court ruled that the defendant's accused actions would constitute a breach of duty.

In its reasoning, the Court gave importance to the alleged fact that the defendant initially comprehended the plaintiff's requirement for concurrent licenses upon entering the agreement, affirmed that concurrent licenses could access the software simultaneously, permitted such usage for an extended period, and then only after a

long period claimed widespread noncompliance based on an unjustifiable interpretation of the licensing agreement to be able to demand higher licensing fees from the plaintiff.

Like in the previous case, the Court gave importance to the motives of the defendant's conduct and emphasized that the plaintiff's conduct had been going on already for a while, and by remaining silent, the defendant could have been seen as conveying its consent of such conduct. The duty of good faith and fair dealing can thus be found to work similarly to the Finnish principle of loyalty, protecting the parties' expectations. Like the principle of loyalty, the duty of good faith and fair dealing imposes an obligation on the parties to act loyally toward each other in the sense that they are prohibited from "extorting" the other party by way of adhering to express terms of the agreement.

In the case of Herring Networks Inc. ("Herring") v. AT&T Services Inc. et al. ("AT&T"), the United States District Court for the Central District of California ruled in favor of the implied duty of good faith and fair dealing. In the case, the plaintiff, Herring, claimed that AT&T, among other things, breached the implied duty of good faith and fair dealing with its conduct. In this case, the parties had entered into a licensing agreement over AT&T carrying two Herring's channels on their U-verse platform for a set period of years. The licensing fee payable by AT&T was tied to the number of subscribers on the U-verse. When negotiating the contract, Herring was left under the impression that AT&T was dedicated to further developing the U-verse. An early draft version of the licensing agreement had included a provision that AT&T would have to "carry the networks on subsequently acquired platforms," but the provision did not make it to the signed agreement.

A month after entering into the contract, AT&T announced its plans to acquire a competitor and, after the acquisition, started to develop its platform DirecTV and advertise it to its clients, trying to get clients to move from the U-verse to DirecTV. This conduct, withholding information about the acquisition and trying to get clients to move to the new platform, led Herring to file a claim for breach of good faith and fair dealing. Herring argued that AT&T was diminishing the profit that Herring had negotiated for under the licensing agreement, as AT&T's deliberate conduct resulted

in reduced subscribers on the U-verse. AT&T argued that they had no express obligation to maintain the number of subscribers.

The Court stated that parties to a contract are obligated to refrain from unfair conduct that obstructs the mutually intended objectives and disappoints the other party's reasonable expectations, regardless of whether such conduct also breaches an express term of the agreement. The Court saw the conduct of AT&T as actively trying to get subscribers to move platforms, thus undermining the plaintiff's entitlement to its license fees per subscriber. The Court ruled this conduct to be in breach of the implied duty of good faith and fair dealing.

The Court emphasizes the deliberateness of the plaintiff's conduct. Even though the duty of good faith and fair dealing does not go as far as the Finnish principle of loyalty in setting obligations to the parties to safeguard and promote the other's interests and goals, the duty does set a lower standard of refraining from conduct that might put such interests and expectation at risk and frustrate the purpose of the agreement. This can be seen as reflecting a lower standard of loyalty in American copyright licensing agreements. However, no particular weight is put on the unique characteristics of intellectual property or licensing agreements as a contract type.

The United States District Court for the Southern District of New York delivered a judgment on the case of 19 Recordings Ltd. v. Sony Music Entertainment, where the Court ruled that an implied duty of good faith and fair dealing, while included in all contracts under New York law, cannot create obligations separate from those outlined in the contract. The case involved a record company, 19 Recordings Limited ("19"), that filed a lawsuit against Sony Music Entertainment ("Sony") for alleged breach of contract and the implied duty of good faith and fair dealing. 19 alleged that Sony had not paid 19 all the royalties it was entitled to based on the licensing agreements¹³⁵ between the parties. According to the licensing agreements, Sony could exploit the recordings of 19's artists, including, among others, the manufacturing, promotion, distribution, sale, and sublicensing of the artists' work. Sony sought dismissal of the complaint, arguing that the explicit terms of the licensing agreements barred 19's claims.

¹³⁵ These licensing agreements were mostly identical.

The royalty structure of the licensing agreement was highly complex. After 19 audited Sony's books, as it was entitled to do according to the agreement, it concluded that Sony had been systematically miscalculating the royalties by underreporting income by purposefully improperly structuring its contracts with third-party record clubs.¹³⁶ In addition to this, 19 claimed that Sony also breached the duty of good faith and fair dealing by allowing individual tracks to be sold at a price that caused 19 financial harm and by purposefully "*drafting or editing the third-party agreements to mischaracterize the nature of the relevant exploitation*" which then led to 19 losing a substantial portion of the benefits outlined in the licensing agreement.

The Court denied Sony's motions to dismiss the claims of underreporting income and purposefully mischaracterizing natures of exploitations but granted the motion regarding Sony selling tracks at a loss. It stated in its reasoning, among others, that the duty of good faith and fair dealing "encompass[es] any promises which a reasonable person in the position of the promisee would be justified in understanding were included" but doesn't go further than this, adding that the only purpose of the duty is to make sure that a party does not employ its discretion arbitrarily or irrationally. The Court added that for the aforementioned to materialize, "a party's action must directly violate an obligation that may be presumed to have been intended by the parties."

According to the Court, the duty of good faith and fair dealing does not stretch to the extent of compromising a party's inherent right to pursue its interests, even if it inadvertently diminishes the expected benefits of the contract for the other party. Regarding the denied motions, the Court noted that the licensing agreement does not limit or discuss Sony's authority to sell individual tracks separately. As Sony is explicitly given an "unrestricted right" to do so under the licensing agreement, ruling in favor of 19 would not only place unreasonable constraints on Sony's discretion but would also nullify an explicit contractual provision, improperly establishing obligations outside the contract and impeding Sony's general prerogative to act in its interests.

¹³⁶ Sony had structured the agreements so that it let the clubs exploit the records at a price lower than the market value, but then received "trademark payments" from the clubs to cover the underpayment. According to 19 this led to Sony being paid the fair market value while only a part of the income would be such that Sony had to pay royalties to 19 from.

It is interesting to notice that where in Herring the Court stated that an express term does not need to be breached for an action to comprise a breach of the duty of good faith and fair dealing, the Court, in this case mentioned above of 19 Recordings, in its reasoning stated that the duty of good faith and fair dealing could not create new obligations that are not already included in the agreement between the parties. It can thus be asked whether these two stances represent two different approaches to the scope of the duty or if, in the first case, it was meant that the agreement does not have to include something as a written express term but that the obligation does have to be otherwise implied by the agreement.

The Court gave importance to Sony being able to act in its interest, even if that would inadvertently diminish the benefits of the other party. The Finnish principle of loyalty can sometimes be seen to go further than the duty of good faith and fair dealing in this aspect, as it obligates parties also to promote the fulfillment of each other's interests if reasonably in their power. It is, however, unclear how the principle would treat a situation where the conduct of a party entirely inadvertently causes the other party harm.

At a closer look, it seems unreasonable that a party trying to act in its interests in good faith could breach the principle of loyalty if it, completely unknown to it, simultaneously caused harm to the other party. A better judgment of the situation may then be that the principle of loyalty and the duty of good faith and fair dealing differ only as to the extent to which the parties are supposed to safeguard and promote each other's interests, meaning that when the Finnish principle of loyalty is applicable to an agreement, the parties have a further reaching obligation to find out and ensure that their conduct won't diminish the benefits of the other party, or that such scenarios should be avoided if possible.

In a third case indirectly concerning a copyright licensing agreement, the Court ruled that the duty of good faith and fair dealing only applies to performance during the contract and cannot give rise to any duties not outlined in the agreement. In the case *AccuSoft Corporation ("AccuSoft") v. James Palo, Simon Weiczner, and Snowbound Software ("Palo et al.")*, the plaintiff-appellant AccuSoft and defendant-appellees Palo et al. appealed a district court order where the parties had agreed on a settlement

agreement regarding a dispute on the ownership of the copyright to software and the termination of a licensing agreement regarding said software.

After finding out that AccuSoft had made an agreement before the settlement agreement to sublicense the software to a third company, Palo et al. argued that AccuSoft had breached the duty of good faith and fair dealing by not disclosing the existence of the sublicensing agreement when negotiating the settlement agreement and by letting the sublicensing agreement to continue after the licensing agreement between AccuSoft and Palo et al. had terminated, even though this “absolutely contradict[ed]” the “express intention” of the settlement agreement.¹³⁷ The Court ruled in favor of AccuSoft and stated that the duty of good faith and fair dealing only applies to performance during the contract, not to contract negotiations. As in this case the agreement did not include any express provisions on the continuation of agreements already existing at the time of the negotiations and signing of the settlement agreement, the duty of good faith and fair dealing cannot be seen to have been breached.

This case demonstrates one of the most significant differences between the Finnish principle of loyalty and the duty of good faith and fair dealing: the scope of application of the principles. The principle of loyalty applies to both pre-contractual relationships and contractual relationships. In contrast, the duty of good faith and fair dealing can only apply to contractual relationships.¹³⁷ This is also the case even if the nondisclosure of a party leads to the agreement being less beneficial and contradicting the express intention that the other party thought the agreement to have. This is a powerful stance in favor of freedom of contract and the priority given to the party being able to act in its own interests first and foremost. The ruling shows little importance given to loyalty between parties.

Somewhat similarly as in *19 Recordings Ltd. V. Sony Music Entertainment*, the Court ruled that the defendant was not in breach of the duty of good faith and fair dealing in the case of *Gary K. Wolf et al. (“Wolf”) v. Walt Disney Pictures and Television et al. (“Disney”)*. The case concerned a licensing agreement between Disney and Wolf, where Disney had allegedly underreported revenue based on which Wolf was getting

¹³⁷ This view of the duty does seem to have some exceptions, as some U.S. courts have found precontractual duty of good faith and fair dealing to apply to precontractual negotiations in the form of a duty of disclosure. See above subchapter 2.2.2.

compensated and had failed to compensate non-merchandise use. The Court dismissed the alleged underreporting due to lack of evidence. The Court also dismissed the second claim, as the agreement had included an express provision stating that “Disney was under no obligation to exercise any of the rights granted to it and could assign or license all rights granted to it under the 1983 Agreement as it [saw] fit”. The Court emphasized that the implied duty of good faith and fair dealing cannot trump express terms, and for this reason, Disney’s conduct was not breaching the duty.

As seen in previous cases, the common consensus is that the duty of good faith and fair dealing generally cannot trump express terms. The case also demonstrates how, with express terms, the parties can limit the effects of the implied duty of good faith and fair dealing by including terms such as “as it sees fit.” In this case, as the parties had expressly given very far-reaching and autonomous rights to Disney to exploit the license as it wanted, the effect of the implied duty of good faith and fair dealing was minimized to almost zero, as even though Disney’s actions led to Wolf not being compensated for a big deal of the exploitation, the Court still sided with Disney, not giving much importance to loyalty between parties.

Any express terms cannot reduce the scope and effects of the Finnish principle of loyalty, so in a similar case, the courts in Finland would have emphasized the principle and interpreted the contract in line with the principle, limiting the party’s freedom to act in its interest in order to protect the other party’s expectations and interests.

The courts have also argued in favor of the implied duty of good faith and fair dealing in the case *Marsu B.V. v. The Walt Disney Company*, where Disney did not fulfill key obligations under an exclusive licensing agreement with Marsu B.V. regarding the exploitation of the cartoon character “Marsupilami.” Despite paying some compensation, Disney’s negligence in producing required animated films, coordinating merchandise campaigns, and focusing on other projects led to the failure of the merchandise campaign. The Court stated that:

A “breach of a specific provision of the contract is not a necessary prerequisite” to a breach of an implied covenant of good faith and fair dealing – “[T]he covenant is implied ... to prevent a contracting party from

engaging in conduct which (while not technically transgressing the express covenant) frustrates the other party's rights of the benefits of the contract.”

In this case, the Court argued that even if the conduct was not breaching an express term, the implied duty of good faith and fair dealing could still be breached.

According to the Court's reasoning, conduct breaches the implied duty if it prohibits the other party from benefiting from the agreement. The case concerned an exclusive licensing agreement, so it can be argued that this might have influenced the Court applying the implied duty to such an extent, as the arrangement was such that it clearly put the other party in a very dependent position, where its sole income from the copyrighted work came from the licensing agreement in question. For example, this same approach was taken in the case of *Wood*, where the implied best efforts were included in the agreement.¹³⁸ This shows that the duty of good faith and fair dealing takes into account unbalanced dependency to a much greater degree than the Finnish principle of loyalty, which is intended to protect both parties equally regardless of the arrangement and the de facto power imbalance between the parties.

The case of *L-7 Designs v. Old Navy LLC* was about the duty to negotiate in good faith. In the case, L-7 Designs appealed a judgment dismissing five counts from their Complaint against Defendant-Appellee Old Navy, stemming from a creative services agreement. The appellate court concluded that the district court erred in dismissing counts related to Old Navy's failure to negotiate in good faith regarding a branded merchandise line and the wrongful termination of the agreement. Old Navy was ruled to have failed the duty to negotiate because, at first, it did not participate in the negotiation by commenting on the draft license agreement and then proposed terms it knew to be economically unfair, expecting rejection, and then reneged when L-7 accepted.

Even though the duty of good faith cannot generally be applied to pre-contractual negotiations, it does apply to negotiations within a contractual relationship. In this case, the duty adds an obligation for the parties to negotiate on entering into a further contract that had already been preliminary agreed upon beforehand in an earlier contract. As with the Finnish principle of loyalty, it does not force the parties to enter into an agreement if they cannot agree on the terms, but it does prohibit the parties

¹³⁸ See subsection 4.2.2.2.

from changing their mind even before the contract negotiations and getting out of the preliminary agreement without any actual effort on negotiating the terms first. As with the principle of loyalty, the duty of good faith and fair dealing guards the reasonable expectations of the party who has been under the impression that a later agreement will be made based on the preliminary discussions.

In the case of Paul Spinelli et al. v. National Football League (NFL) et al., the NFL outsourced its intellectual property licensing to AP (a company). Plaintiffs, professional sports photographers, allege that AP granted the NFL complimentary licenses to use their photographs without compensation, breaching their contributor agreements. Despite requests for fair compensation, the NFL and AP allegedly continued using plaintiffs' photos without payment, leading to a claim for breach of the implied covenant of good faith and fair dealing, which was upheld upon appeal. The Court's reasoning included, among other things, a statement about AP robbing the plaintiffs of "the fruits of" the agreements. They also noted that the agreements implicitly obligated AP to refrain from licensing or selling conduct that would benefit only AP and not the plaintiffs.

Contrary to what the Court ruled in Gary K. Wolf et al. v. Walt Disney Pictures and Television et al., the Court ruled in favor of plaintiffs Paul Spinelli et al. and found that the defendants had breached the implied duty of good faith and fair dealing. The different outcome was likely due to a missing express term, allowing the defendants to use the plaintiffs' works with complete discretion. As an express term mapping out the extent of the defendants' rights to exploit the plaintiffs' works was missing, the Court applied the implied duty of good faith and fair dealing instead, filling in the gaps in the agreement. In this case, the duty of good faith and fair dealing worked very similarly to the Finnish principle of loyalty, serving as an interpretation aid for the licensing agreements.

The duty of good faith and fair dealing imposed a higher standard of loyalty between the partners and obligated the defendants to not only refrain from actions that would cause harm to the plaintiffs but to act only in such a way that would be beneficial for both parties. This standard is much higher than the starting point of two parties entering into an agreement and only acting in their own interest, strictly adhering to the agreement's express terms, and nothing more.

An example of good faith in trademark licensing agreements is the Authentic Apparel Grp case. LLC v. United States. In the case, the licensee sued the licensor because it had breached the duty of good faith and fair dealing by refusing 41 of more than 500 preapproval requests for the ““*products, packaging, labeling, point of sale materials, trade show displays, sales materials, and advertising*” bearing the licensor’s marks.” The licensing agreement expressly gave the licensor exclusive and complete discretion on whether to approve such requests without any liability for deciding at its discretion not to grant such approvals. The Federal Circuit determined, and the licensee admitted, that the authorization clauses within the licensing agreement permitted the licensor to meet its obligation to maintain quality control, thereby preventing the trademarks from becoming a "naked license."¹³⁹

As in the case of Gary K. Wolf et al. v. Walt Disney Pictures, the presence of an express term restricting the scope of the implied duty of good faith and fair dealing affected the Court’s decision and the effects of the implied duty. As the term specifically stated that refusing to grant approval would not amount to liability, the Court prioritized the express term. It restricted the effect of the implied duty of good faith and fair dealing. What also affected the Court’s judgment was that the express term also *de facto* enabled the licensor to monitor the use of the trademark, which is essential for trademark owners, as if a trademark fails to meet quality standards, the owner of it is at risk of losing the rights to the trademark.

In another case concerning trademarks and an exclusive distributorship of motorcycles, parts, and accessories, the Court ruled that the licensor had breached the implied duty of good faith and fair dealing. The case Cycle City Ltd. V. Harley-Davidson was a dispute arising out of Cycle City claiming that Harley-Davidson failed to renew their distributorship agreement¹⁴⁰ by imposing unjustified price hikes on Cycle City, its sole distributor in Hawaii, and, in doing so, also failing to take into account the longevity of the parties’ relationship when negotiating on the renewal of the agreement.¹⁴¹

The State of Hawaii has implemented a Hawaii Motor Vehicle Industry Licensing Act, which was applied to the case. Cycle City argued that Harley-Davidson had breached

¹³⁹ Contreras 2022, p. 475.

¹⁴⁰ The agreement included amongst others, a trademark licensing agreement.

¹⁴¹ Zarco and Morgan 2015, p. 48.

the agreement by breaching the implied duty of good faith and fair dealing with the conduct mentioned above, which Cycle City argued was intended to make it relinquish its rights under the agreement and state law.¹⁴² Exercising discretion unreasonably or arbitrarily can be seen as a breach of the duty of good faith and fair dealing.¹⁴³ Harley-Davidson argued that the agreement included express terms for automatic termination and enabling Harley-Davidson to increase prices, which would mean that it could not be seen as breaching the implied duty as it cannot trump express terms.¹⁴⁴

The Court sided with Cycle City, referring to sections in the Hawaii Motor Vehicle Industry Licensing Act that prohibited a manufacturer from conduct similar to that of Harley-Davidson and expressly stating that the manufacturer could not fail to renew a contract without good faith. The Court ruled that the Act applied to the agreement in question and that Harley-Davidson's actions breached the statutory duty of good faith and fair dealing. The Court also stated that even though an agreement expressly allows price changes, this discretionary power must be used in good faith.¹⁴⁵

In this case, the duty of good faith and fair dealing applied to the agreement, while implied, was also statutory and thus did not rise out of a general principle as in the previously covered cases. As has been established from the overview of the codification of the duty of good faith and fair dealing, it has a sturdier legislative footing than the Finnish principle of loyalty, which can be seen in the UCC and the Restatement, but as can be observed from this case, also from state-level legislation. The effect of this on the applicability and scope of the duty compared to the principle of loyalty cannot, however, be said to be that significant, as as has been established, the principle of loyalty has a steady footing in the body of Finnish contract law as a principle affecting the interpretation and filling in gaps in contracts.

In this case, the duty of good faith and fair dealing restricted the licensor from using its discretion freely and obligated it to take into account also the interests of the licensee, even if express terms had given it a rather significant discretion on both termination and price increases.

¹⁴² Zarco and Morgan 2015, p. 53.

¹⁴³ Zarco and Morgan 2015, p. 50.

¹⁴⁴ Zarco and Morgan 2015, p. 56.

¹⁴⁵ Zarco and Morgan 2015, p. 57–58.

4.2.2.2 Implied Duty of Best Efforts

In addition to the duty of good faith and fair dealing, the U.S. system has sometimes recognized the implied duty of best efforts in contracts. The implied duty of best efforts is typically present in exclusive licensing agreements. It gives rise to a more considerable duty with a higher degree of diligence for performance than the duty of good faith and fair dealing.¹⁴⁶ The landmark case for implied best efforts is the New York Court of Appeals case of *Wood v. Lucy, Lady Duff-Gordon*. In this case, the implied best efforts were applied to give meaning to the contract as a whole and based on principles of equity. The defendant of the case, Lady Duff-Gordon, was a fashion designer who granted the plaintiff, Wood, the exclusive marketing rights to its designs. Although the plaintiff did not explicitly agree to promote the designs, the court inferred such a responsibility because the defendant's income relied solely on the plaintiff's sales of clothes featuring the defendant's designs.

Essentially, this arrangement left Lady Duff Gordon entirely dependent on Wood; without a commitment to promotion, the sale of the defendant's designs, and consequently Lady Duff-Gordon's sole source of profit, rested entirely in Wood's hands. Therefore, the court applied a covenant of good faith to the licensing agreement, requiring Wood to use reasonable efforts to generate profits for Lady Duff-Gordon. The court justified this by stating that good faith to use reasonable efforts was implied, as the consideration of the agreement, royalties, was based solely on generated profits based on the marketing of the exclusive promotional or licensing rights. It is this aspect of the Wood case that underlies the implied obligation of "best efforts" in licensing agreements.¹⁴⁷

In *Wood*, the Court thus found that the duty of good faith and fair dealing can, in some cases, impose implied terms to the agreement that the parties have not agreed on, thus increasing the requirement for the standard of performance. In this case, importance was given to the fact that the plaintiff's sole source of profit rested entirely on the defendant's hands. Even if the Court does not, in its reasoning, go further in its good faith argument, the *de facto* outcome of the ruling is that a party is now required to consider the other party's interests. The Court thus imposed a

¹⁴⁶ Contreras 2022, p. 187.

¹⁴⁷ Coplan 2002, p. 726–727.

heightened requirement of loyalty on the plaintiff party due to the dependent position of the other party.

It has been found by studying court cases that a court will imply a duty of best efforts in the presence of certain circumstances. Firstly, the license granted must be exclusive. Secondly, the licensor's only source of income comes from the licensee utilizing the granted license, and that any advance or minimum royalty that the licensee is required to pay based on the licensing agreement must be inconsequential or relatively small, or that such an advance or minimum royalty is not guaranteed.¹⁴⁸

This can be seen, for example, in the United States District Court for the Eastern District of Michigan case of Permanence Corp. v. Kennametal Inc., where a duty of best efforts was found not to be implied in the agreement. Even though the license in question had been exclusive, the case differed from that of Wood in that there had been an initial advance of \$500,000.00 to the licensor. Whenever an implied duty of best efforts has been found to be present in a contractual relationship, the courts have applied a standard of reasonableness when judging what conduct complies with the duty.¹⁴⁹

The courts put much importance on circumstances likely to cause a party to become dependent on the other party within the contractual relationship. The courts imposing implied duties of best efforts in cases like these would lead to the rights of the more dependent party, as well as the general aim and purpose of the agreement, to be better protected. This way, the reasonable expectations of the licensor will also be secured.

In the United States District Court for District of New Jersey case of Emerson Radio Corp. v. Orion Sales, Inc., the Court was left wondering whether a duty of best efforts was implied in the licensing agreement when no express sales obligation beyond using the term “exploit” was included in the agreement. However, the agreement included a minimum annual royalty payment of \$ 4,000,000.00. In its reasoning, the Court refers to Wood by stating that the approach taken in the case only applies when the licensor's compensation entirely depends on the licensee's conduct. For this reason, the Court argues that the licensor receiving compensation independent from

¹⁴⁸ Coplan 2002, p. 727–728.

¹⁴⁹ Coplan 2002, p. 727–728.

the licensee's efforts frustrates the justification for the equitable principle established in Wood and similar cases.

The Court also argued that in cases similar to Emerson, where a non-insignificant compensation independent from conduct was present, the Courts had always ruled that a duty of best efforts could not be implied. The ruling in Emerson reflected that of the other similar cases, as the Court ruled that due to the licensing agreement including compensation that was independent of the conduct of the licensee, the licensing agreement could not be found to include an implied duty of best efforts. In addition, the Court noted that the licensing agreement not including an implied duty of best efforts does not preclude the party from referring to the duty of good faith and fair dealing.

It can thus be deduced that the dependency, and specifically an imbalance in the dependencies, between the contractual parties can affect the extent to which they have to behave loyally towards each other by imposing an implied duty of best efforts, resulting in them having to take into consideration their contracting partner's interests and with their performance also promote their partner's interests along with their own. This can lead to much more far-reaching obligations than the party initially committed to.

Breaching the duty of best efforts can result in significant liability. This is illustrated by the case *Perma Research & Development Co. v. Singer Co.*¹⁵⁰ In the case, the United States Court of Appeals for the Second Circuit found that the defendant had breached its implied duty of best efforts and was liable to pay damages for seven million dollars. The defendant had put little effort into developing the licensed invention as per the agreement and, at some point, even completely abandoned all efforts. Even though the case concerned patents, its findings can also be applied to copyright and trademark licensing agreements.¹⁵¹

The sentiment of the courts in Wood and Perma was also shared in a newer case of *Third Story Music, Inc. v. Waits*, where the Court stated that:

¹⁵⁰ Coplan 2002, p. 728.

¹⁵¹ For example, Sund-Norrgård has in her research utilized research conducted specifically on patent licensing agreements and applies the findings to other types of intellectual property licensing agreements as well. Sund-Norrgård 2011.

covenants to use "good faith" or "best efforts" to generate profits for the licensor are routinely implied where the licensor grants exclusive promotional or licensing rights in exchange for a percentage of profits or royalties, but the licensee does not expressly promise to do anything.

In this case, the parties had entered into a copyright licensing agreement in which the licensee would exploit the licensor's works in exchange for an annual payment. The agreement included an express term stating that the licensee could, however, at its discretion, refrain from the obligations to exploit the work. The court ruled that no duty of good faith or best efforts could be implied to the agreement, as the licensor's compensation was not dependent on the exploitation, and the agreement had an express term allowing the licensee discretion on the exploitation of the works.¹⁵²

The implied duty of best efforts is not included in any federal codifications nor in any model codes or restatements that are widely recognized and implemented, making it a duty mainly regulated in state-level legislation and common law. For example, the implied duty of best efforts landmark ruling *Wood* was given in New York and is not thus binding law, for example, in California. This means that the application of the duty might differ state by state more than that of the duty of good faith and fair dealing. If again looking at California as an example, it can be noted that the California Supreme Court has not set a positive standard for the duty of best efforts. Despite California law permitting courts to imply best efforts into agreements, there are no fixed criteria for determining when a court must imply best efforts or what criteria a court should employ to assess whether a party has fulfilled their duty of best efforts.¹⁵³

When comparing the implied duty of best efforts with the application of the Finnish principle of loyalty on contracts, many similarities and differences can be found, ranging from similar legislative aims behind the duties to similar and different *de facto* effects they have on copyright and licensing agreements. Both the implied duty of best efforts and the principle of loyalty have according to legal literature and case law risen from the need to protect the reasonable expectations of parties and the overall intended objective of the agreement itself.

¹⁵² Coplan 2002, p. 729–730.

¹⁵³ Severance 2013.

Similarly to the principle of loyalty, the duty of best efforts also requires the parties to take into account each other's interests and like the duty to cooperate, give their reasonable best efforts to work towards the common and separate goals of both parties. This leads to the parties having to make sure that they not only comply with the express terms of the agreement and, in this sense, do the bare minimum when it comes to promoting the other contracting party's interests but that they actively try to also see to it that both parties' reasonable expectations are met even if it would require from them performance that is not expressly mandated by the licensing agreement.

One of the key differences between the two is that whereas in Finnish jurisprudence there is no consensus on whether the principle of loyalty can act as an independent legal norm giving rise to liability for damages, the implied duty of best efforts by itself can and has given rise to, sometimes quite formidable, liabilities for damages. This has been the case even if no other legal norm or express contract term has been breached. The duty of best efforts goes further in this sense, creating more far-reaching liabilities for the parties.

Another difference is that whereas the principle of loyalty is applied to licensing agreements regardless of their express contract terms and conditions, for a court to rule that a licensing agreement contains an implied duty of best efforts, the agreement must include, or lack, specific provisions. Where the principle of loyalty does not demand the presence of certain circumstances, which could be characterized as an unbalanced dependency between the contracting parties, this is a central requirement for applying an implied duty of best efforts to an agreement.

4.3 A Closer Look into Loyalty in Franchising Agreements

According to the International Franchise Association IFA:

A franchise (or franchising) is a method of distributing products or services involving a franchisor, who establishes the brand's trademark or trade name and a business system, and a franchisee, who pays a royalty and often an

*initial fee for the right to do business under the franchisor's name and system.*¹⁵⁴

The franchising business contributes roughly \$674 billion to the U.S. economy, and over half of all the franchises in the world originate from the U.S.¹⁵⁵ There are approximately 250–300 franchising chains in Finland.¹⁵⁶ As can be seen, franchising is significant in both the U.S. and Finland. Franchising agreements are broader licensing agreements that, in addition to the trademark license, consist of a cohort of other intellectual property rights.¹⁵⁷ Due to their close association with trademarks and other intellectual property rights and their nature as long-term cooperation agreements, a closer look will be taken into how the principles governing loyalty present themselves in franchising agreements.

4.3.1 The Finnish Principle of Loyalty

Sund-Norrgård has argued that the principle of loyalty can sometimes obligate a party to stay in the contract at least until the contract has become profitable to the other party as well. This is the case especially with contracts where a party has invested significantly into the contract and maybe even out of the other party's request. If these investments would go to waste were the contract to be terminated, according to the principle of loyalty, a party may be able to rely on the contract not being terminated by the other party any time soon after making the aforementioned investments.¹⁵⁸

However, a party does not have to adjust to just about anything, as that would make the risks of entering into a contract too considerable, as the party would not be able to estimate all of the uncertainties in advance. Implementing the principle of loyalty in licensing agreements should not lead to a conclusion where the termination of an agreement is impossible. In a case involving a franchising agreement (Kouvola Court of Appeals 9.6.2005 no. 641), the Kouvola Court of Appeals decided that a ten-year

¹⁵⁴ International Franchise Association 2024.

¹⁵⁵ Gitnux Market Data Report 2024 2024.

¹⁵⁶ Yrittäjät 2024.

¹⁵⁷ World Trade Organization 2024b.

¹⁵⁸ Sund-Norrgård 2011, p. 195.

contract without the possibility of termination could still be terminated as the agreement had become financially unfeasible to one of the parties.¹⁵⁹

The principle of loyalty can gain importance in franchising agreements precisely due to their nature as standardized agreements. Also, the fact that franchising agreements are usually broad, comprehensive sets of agreements (including licensing agreements) heightens the importance of the principle of loyalty in such contracts. This is especially true with the right of termination, as terminating a contract within the comprehensive set of agreements inside the franchising agreement could affect the remaining contracts.¹⁶⁰

Another duty brought about by the principle of loyalty is the duty of disclosure.¹⁶¹ In Sweden, the franchisee's duty to cooperate and provide information is set in the law.¹⁶² Denmark has a separate Danish Franchise Association's Code of Ethics, which defines commercial best practices and can also affect how the principle of loyalty should be interpreted in franchising agreements. An example of this could be the duty to try to solve disputes before going to court or starting arbitration and using the best efforts to avoid both.¹⁶³ These bodies of soft law can also set a standard analogously in Finland as to what is expected of parties to a franchising contract in terms of loyalty.

Finland's Ethical Board of the Finnish Franchise Association has given a statement 1/2010 on understanding the Code of Ethics. The Association, among other things, stated that parties to a franchising agreement are to behave loyally towards each other, which demands open communication. In the case that the Association was commenting on, the franchisor was obligated to answer the franchisee's questions about the usage of the fees it paid to the franchisor when the franchisor had failed to allocate the fees straight to an independent marketing account.¹⁶⁴ Slightly differing from Finland, the consensus in Denmark is that a breach of the principle of loyalty can constitute a material breach of the contract itself.¹⁶⁵

¹⁵⁹ Sund-Norrgård 2011, p. 198.

¹⁶⁰ Sund-Norrgård 2012, p. 304.

¹⁶¹ Sund-Norrgård 2016, p. 265. For example, Sweden has even implemented a Franchise Disclosure Act. Finland doesn't have any enacted special legislation regarding franchise agreements. Ämmälä 2000, p. 23.

¹⁶² Munukka 2007, p. 145.

¹⁶³ Henschel 2016, p. 316.

¹⁶⁴ Henschel 2016, p. 330.

¹⁶⁵ Henschel 2016, p. 331.

The Norwegian Franchise Forum has also developed its version of Ethical Codes, emphasizing mutual respect and joint care.¹⁶⁶ As in Denmark, the Norwegian Code also requires effective communication.¹⁶⁷ According to the Norwegian Supreme Court, long-term agreements require the parties to actively and loyally cooperate, and the principle of loyalty can be of heightened importance in cases with an especially high level of cooperation. In such cases, like in franchise agreements, the courts have often ruled that a breach of the principle of loyalty can constitute grounds for termination. The heightened role of the principle of loyalty can be explained by the interdependency of the parties.¹⁶⁸

The statements given by other Nordic franchising associations can very well be analogously applied to Finnish franchises, especially regarding themes of the principle of loyalty, good faith, or best efforts, as all Finland, Sweden, Norway, and Denmark are members of the European Franchise Federation, that has implemented a code called the European Code of Ethics for Franchising that is binding on all of the members and works as a general guideline.¹⁶⁹ Their analogous applicability can also be argued with the similarity of the other Nordics' stances with that of Finland, which can be seen from the above look into the principle of loyalty in franchise agreements in other Nordic countries.

The respective associations of Finland and Sweden and the European Franchise Federation are also members of the World Franchise Council, which also has its own Code of Ethics, which works as a guideline. The U.S. franchise association IFA (International Franchise Association) is also a member of the World Franchise Council. Being a member means that the associations must adhere to these rules of ethics.¹⁷⁰ Both codes of ethics reflect the principle of loyalty and a duty of loyal conduct between parties and highlight the nature of a franchise agreement as a cooperation agreement.

In legal literature, the principle of loyalty is seen as a fundamental implicit part of all franchise agreements. Due to the nature of franchise agreements, the franchisor must

¹⁶⁶ Viken 2016, p. 350.

¹⁶⁷ Viken 2016, p. 362.

¹⁶⁸ Viken 2016, p. 349–350.

¹⁶⁹ European Franchise Federation 2024.

¹⁷⁰ World Franchise Council 2024a and World Franchise Council 2024b.

safeguard the franchisee's future and operating conditions.¹⁷¹ As franchising agreements are usually long-lasting and have lots of gaps, the importance of the principle of loyalty is heightened. In such agreements, the principle of loyalty is used to fill in the gaps and interpret the agreement. The specific effects of the principle of loyalty and, thus, the obligations and duties set forth by it differ between different agreements, depending on their unique terms and the conditions of the parties.¹⁷²

Thus, the principle of loyalty manifests itself in franchise agreements, for example, in the form of duties regarding termination and related obligation to renegotiate, disclosure and heightened obligation to also give guidance, and mutual cooperation and heightened duty of care and safeguarding. The agreement type does not give rise to any new duties or obligations. However, it does increase the extent to which the general duties in contract law must be applied to the contractual relationship. It heightens standards of what may be considered loyal conduct or, reversely, lowers the standards of unloyal conduct that constitutes a breach of the duty of loyalty.

4.3.2 Good Faith and Fair Dealing in the U.S.

The implied duty of good faith and fair dealing affects franchising agreements in various ways, including combating discriminatory favoritism, termination, transfer, and renewal of an agreement in bad faith and combating destructive competition.¹⁷³ The prevailing view in the U.S. is that the implied duty cannot trump express terms, and the same applies to franchising agreements, as seen in the Pennsylvania case of *Northview Motors Inc. v. Chrysler Motors Corp.* The main effect the implied duty of good faith and fair dealing has on the agreement is that it restricts and sets standards on how a party vested with discretion to act uses such discretion.¹⁷⁴

As in Finland, the scholars in the U.S. also classify franchise agreements as relational contracts and, as such, see them as requiring long-term mutual performance and discretion vested in both parties, although they recognize that in this sense, the agreements are usually unbalanced in favor of the franchisor.¹⁷⁵ The agreements are

¹⁷¹ Ämmälä 2000, p. 24.

¹⁷² Ämmälä 2000, p. 25.

¹⁷³ Caruso 2007, p. 207.

¹⁷⁴ Caruso 2007, p. 208.

¹⁷⁵ Caruso 2007, p. 208–209.

usually built so that the duties falling on the franchisor are not specified and are left at the discretion of the franchisor, whereas the franchisee is subject to precise regulation.¹⁷⁶

This franchisor discretion is then what is restricted by the courts applying the implied duty of good faith and fair dealing on the agreement. This restriction is done by obligating the franchisor to use the discretion reasonably, taking into account the reasonable expectations of the parties. This means that the parties are prohibited from taking advantage of each other by exploiting the gaps in the agreement. This is done to protect the parties' rights to receive the benefits of the agreement. Manipulating agreement terms is especially prohibited.¹⁷⁷

The implied duty of good faith and fair dealing works similarly with the principle of loyalty, as the principle of loyalty is used to fill in the gaps in agreements and, similarly, to help ensure that the parties do not exploit these gaps to their advantage. Although in Finland, the parties need to actively promote each other's aims, in the U.S., the requirement is set lower, where parties are just required to refrain from exploiting the other party.

The duty to exercise discretion in good faith can also be reached to situations where no deceit or overreach is present. This has been demonstrated in the case of *Weight Watchers Ltd. v. Weight Watchers International Inc.*, where the plaintiff alleged that the other party had prosecuted and settled on a trademark infringement matter in bad faith. The Court ruled that the franchisor's right to start legal proceedings relating to trademark infringement in its discretion did not mean that such discretion could not, in any case, be questioned.¹⁷⁸ This case demonstrates a duty of good faith and fair dealing that is more in line with the Finnish principle of loyalty, as the duty to exercise discretion is extended further than to cases where blatant exploitation is present.

From the '90s onwards, the use of the implied duty of good faith and fair dealing has grown in importance in franchising agreements. In 1990, the Court decided in the case of *Carvel Corp. v. Diversified Management Group Inc.* that a franchisor must

¹⁷⁶ Caruso 2007, p. 209.

¹⁷⁷ Caruso 2007, p. 209.

¹⁷⁸ Joseph 1991, p. 487.

justify its business decisions to the franchisee and that a failure to do so would be in breach of the implied duty of good faith and fair dealing.¹⁷⁹

In the 1996 case of Vylene Enterprises Inc. (“Vylene”) v. Naugles Inc. (“Naugles”), the Court ruled in favor of the duty trumping an express term of the agreement. The case concerned the franchisor, Naugles, building a competing restaurant less than two miles from the franchisee. Even though the franchising agreement clearly denied the franchisee territorial exclusivity, the Court still ruled that building a new restaurant close to the franchisee constituted a breach of the implied duty of good faith and fair dealing. In addition to this, the Court also ruled that Naugles had breached the implied duty by not negotiating a renewal of the agreement in good faith.¹⁸⁰

Regarding the duty to negotiate a renewal in good faith, the Court ruled that negotiations in good faith and fair dealing would have taken into account Vylene’s financial situation.¹⁸¹ In a later appeals case regarding the same matter, the Court ruled that while there was no guaranteed right for renewal, offering a renewal on “commercially unreasonable” terms to the franchisee consisted of a breach of the implied duty of good faith and fair dealing. Importance was given to the fact that Naugles should have known that the franchisee, Vylene, would reject the terms it suggested. The Court ruled so even if the agreement itself did not obligate the parties to anything else but to negotiate the conditions for renewal.¹⁸²

The rulings in Vylene and Carvel reflect a more Nordic approach to loyalty in franchising and other agreements, where a more active duty of taking the other party’s interests into account is imposed on the parties. However, this approach is not universal and can vary between states and court instances, as seen in *Original Great American Chocolate Chip Cookie Co. v. River Valley Cookies Ltd.*

In the case of *Original Great American Chocolate Chip Cookie Co. v. River Valley Cookies Ltd.*, the Court categorically ruled that there was no “blanket duty of good faith.” The Court also declared that parties do not have to act altruistically toward each other, nor do they need to behave reasonably. The only restriction on parties’

¹⁷⁹ Harman 1998, p. 486–487.

¹⁸⁰ Harman 1998, p. 479.

¹⁸¹ Harman 1998, p. 481.

¹⁸² Harman 1998, p. 484–485.

behavior is not to exploit gaps and provisions of agreements dishonestly in violation of the agreement's purpose.¹⁸³ It can thus be seen that whether the implied duty of good faith and fair dealing rises to the level of the Finnish principle of loyalty can also depend on the state and court instance, which demonstrates that the notion of loyalty in franchising agreements is not as all-encompassing and far-reaching as it is in Finland.

In the U.S., the newer trend has been to protect the franchisee, as seen from case law from the early 2000s. In the cases of Pepsi-Cola Bottling Company of Pittsburgh Inc. (“Pepsi-Cola”) v. Pepsico Inc. Bottling Group LLC (“Pepsico”), the Court obligated Pepsico to actively protect Pepsi-Cola’s territory from intruding competitors with reasonable efforts. In the Minnesota case of Bloomington Chrysler Jeep Eagle Inc. v. DaimlerChrysler Motor Co LLC, the Court denied summary judgment in a potential breach of the implied duty of good faith and fair dealing, where the express terms granted the franchisor the right to allow competitors in the franchisee’s territory as appropriate.

In the Indiana case of Hubbard Auto Center Inc. v. General Motors Corp, the Court ruled that “*failing to distribute motor vehicles in a fair and equitable manner ... [and] failing to permit the opportunity to receive a reasonable return on investment*” could constitute a breach of the implied duty of good faith and fair dealing.¹⁸⁴ However, as noted previously, the state of Indiana, among a few others, also in many cases does not recognize the implied duty of good faith and fair dealing, as has been demonstrated in the case Monroe County Oil Co v. Amoco Oil Co.¹⁸⁵

In the Florida case of Sunshine Restaurant Partners L.P. (“Sunshine”) v. Shivshakti One Inc. (“Shivshakti”), Sunshine had sub-franchised Shivshakti the rights to be an IHOP franchisee. Shivshakti defaulted on some of its royalties and advertising fees, after which the licensing agreement was terminated. Amongst other claims, Shivshakti alleged that Sunshine breached the implied duty of good faith and fair dealing when it opened a competing store in the location previously requested by Shivshakti. The licensing agreement had an express term allowing the franchisor to establish new stores as long as they were at least two miles from Shivshakti’s store.

¹⁸³ Harman 1998, p. 489–490.

¹⁸⁴ Caruso 2007, p. 210.

¹⁸⁵ Joseph 1991, p. 482.

Even though the implied duty of good faith and fair dealing is recognized in Florida, the Court ruled that Sunshine did not breach any express terms as the new store was further than two miles from Shivshakti's store. Thus, the Court stated that Shivshakti failed to make a claim warranting relief.

This ruling differs drastically from that of *Vylene* and many others. It resembles the ruling of the *Original Great American Chocolate Chip Cookie Co. v. River Valley Cookies Ltd*, where the Court stressed that parties do not have to behave altruistically toward each other. In this Florida case of *Sunshine v. Shivshakti*, the Court took the approach of keeping the application of the implied duty at a minimum. This also demonstrates a difference in the interpretation and the effects that the implied duty of good faith and fair dealing has on agreement when compared to the Finnish principle of loyalty, as in this case, neither party was imposed any obligations that would have risen outside of the express terms of the agreement.

There are no uniform guidelines on how to apply the implied duty of good faith and fair dealing in lawsuits usually concerning the franchisee's claim of the franchisor breaching the duty, although in most cases, the Courts have taken the approach of not letting the implied duty act as an independent cause of action for breach of the agreement and thus not imposing obligations inconsistent with the express terms of the agreement.¹⁸⁶

This lack of uniform guidelines has been combated at a state level by enacting statutes governing franchises.¹⁸⁷ Statutes containing good faith and fair dealing obligations on franchising parties include the Iowa Code § 537A.10 and Connecticut General Statutes § 42 – 133l, where the Iowa Code sets the duty of good faith and fair dealing to an equal level with the UCC and the Restatement, and the Connecticut Statutes cover specifically the termination and renewal of the agreement. This exhibits how the extent of the duty of good faith and fair dealing and its correspondence to the Finnish principle of loyalty varies on a state-to-state basis. In some states, the effects of the duty on franchising agreements resemble those of the principle of loyalty to a great degree. In contrast, in others, the implied duty's protection level is considerably lower.

¹⁸⁶ Zarco and Morgan 2015, p. 48.

¹⁸⁷ Zarco and Morgan, p. 51.

In a very recent March 2024 case of Oakland Family Restaurants Inc. and Lake Area Restaurants Inc. (“Oakland”) v. American Dairy Queen Corporation (“Dairy Queen”), the Court argued that the defendant Dairy Queen did not breach the duty of good faith and fair dealing. In this case, the franchisee wanted to assign his rights, but Dairy Queen would have consented to this only if those new assignees signed new franchising agreements with less favorable terms. The plaintiff argued for breach of contract and promissory estoppel. As the case was under the jurisdiction of Michigan, the Michigan statute MCL § 445.1527(g) was applied to the situation, which explicitly grants the franchisor a right to deny assignment if they have good cause.

In the case of Dairy Queen, it argued its cause by stating a need to adapt to recent legal and regulatory changes and stay competitive. The Court found these causes to be reasonable and valid. In addition, it demonstrated a commitment to fair dealing by proposing to retain clauses from previous agreements, such as seasonality requirements, which render individual locations highly appealing to potential buyers. Even though the Court did not directly take a stand on what conduct would have constituted a breach of the duty of good faith and fair dealing, and thus what obligations the duty imposed on the contractual parties, it did state that a party may, in cases of assignment of rights, offer terms less favorable than before if its reasons for this can be deemed reasonable and not arbitrary.

These good faith and fair dealing obligations rise out of the above-mentioned Michigan statute, which imposes on the franchiser a restriction on its discretion on using certain rights vested to it by the agreement and thus the parties collectively. Even though the restrictions do not necessarily go as far as is the case with the Finnish principle of loyalty, they do set a minimum standard on not exploiting the more dependent party by requiring a certain level of reasonability for the franchisor’s actions before they are deemed allowed.

4.4 International Restatements of Law

As established earlier, copyright and trademark licensing agreements are a big part of commercial life and are commonly used worldwide. Due to globalization, licensing agreements are starting to include more and more international connections. In

Europe, researchers have drafted sets of international restatements of law. They are not binding in nature but can often be viewed as customs, at least in European agreements. The essential restatements are the Principles of European Contract Law (PECL), the Principles of International Commercial Contracts (UNIDROIT), and the Draft Common Frame of Reference (DCFR).

All the above contain mandatory obligations for the parties to follow the duties set by the civil law principle of good faith and fair dealing. Even if the parties do not include express terms to abide by these restatements, they may still be relevant to the agreement. The DCFR specifically can prove relevant for licensing agreements. As the paper focuses on a comparative study between Finland and the U.S., a closer look is also taken into how these non-binding restatements might affect copyright and trademark licensing agreements.

The good faith obligations of PECL very much align with those of the Finnish principle of loyalty.¹⁸⁸ According to section two, parties must follow good faith and fair dealing in their conduct and cooperate with each other. In the DCFR and UNIDROIT, a duty of good faith and fair dealing is set, but in the DCFR, it is stated explicitly that a breach of such duty does not give rise directly to the remedies for non-performance.

After examining the restatements, they would not give rise to any obligations or duties of loyalty at a higher degree than the Finnish legislation and principles. So, in this sense, even if the restatements are seen to apply to the agreement between a Finnish and a U.S. party or a Finnish party and a party from any other jurisdiction, the restatements would not give rise to any further duties or obligations.

¹⁸⁸ Sund-Norrgård 2011, p. 74.

5 A Comparative Assessment of Contractual Loyalty in Copyright and Trademark Licensing

5.1 Comparing and Contrasting How Principles of Contract Law Governing Loyalty Affect Copyright and Trademark Licensing Agreements

Loyalty is crucial to copyright and trademark licensing agreements in Finnish and the U.S. legal systems. However, the systems have taken notably different approaches to achieve and enforce this. The Finnish principle of loyalty manifests itself in many forms, creating various effects on copyright and licensing agreements. The principle can impose obligations on parties to negotiate in good faith, disclose information, refrain from competing, cooperate, respect confidentiality, renegotiate agreements, terminate agreements in good faith, and refrain from actions that could harm the other party's interests, even in pre-contractual stages. In licensing agreements, the licensors and licensees are expected to promote each other's interests actively.

The U.S. implied duties of good faith and fair dealing and best efforts affect copyright and trademark licensing agreements somewhat similarly, for example, by imposing a duty to terminate a contract in good faith. The duty of good faith and fair dealing does not impose as far-reaching obligations and restrictions on the parties as the Finnish principle of loyalty. It focuses mainly on setting a certain standard of good faith and fair dealing so that the parties do not exploit the gaps in the contract or actively partake in conduct that frustrates the other party's rights or chances to reap the benefits. In this way, it is more of a passive obligation to refrain from certain types of conduct. In contrast, the Finnish principle is more of an active obligation to cooperate, safeguard, and promote.

One of the most significant differences between the two systems is how they approach the topic of pre-contractual liability and duty of loyalty. The Finnish principle of loyalty obligates the potential contractual parties to negotiate in good faith and can sometimes even result in pre-contractual liability for damages. In the U.S., the standard approach is that no pre-contractual liability or obligation for loyal behavior exists. This difference between the systems is quite formidable, as the Finnish system sets much further extending obligations of loyalty on the parties, and the protection of the parties' reasonable expectations are protected considerably. In contrast, in the

U.S., this protection can be seen as effectively non-existent. Another key difference is that where in Finland, in some scenarios, the principle of loyalty could be seen as possibly being able to trump an express term of an agreement, in the U.S., the consensus, with very few exceptions, is that the duty of good faith and fair dealing cannot ever trump an express term of an agreement.

In the Finnish system, the principle of loyalty can affect the parties by imposing stricter and more further-reaching duties of disclosure, including, for example, the obligation to inform the license owner of any infringements or the licensee of any new works intended to be published that would compete with the licensee's own work. The duty of disclosure exists in the U.S., but as can be noticed from the case law, especially from cases such as *AccuSoft*, significantly more emphasis is put on a party being able to act in its self-interest, where the duty of disclosure is sometimes seen to be wholly inapplicable even if the courts acknowledge the immoral and dishonest nature of the conduct.

The duty of non-competition can also be seen as heightened in cases where the principle of loyalty is applied, as due to their unique nature, licensing intellectual properties can create a more dependent relationship between the licensor and the licensee, where the licensor is often seen to have the upper hand. In the U.S., the duty of non-competition can be most prominently seen in franchising agreements due to their high level of relationality. In such agreements, usually, the franchisee is the party more affected by such obligations.

Other effects of the principle of loyalty on an agreement are the increased good faith standards of termination that relate to the above-mentioned unique nature of intellectual property. The principle of loyalty can also be seen to consist of more varied characteristics when it is based on copyright law rather than the rules derived from general contract law. This can be seen especially regarding the moral rights of an author. Trademarks, on the other hand, affect the interpretation of what needs to be taken into account as a party's interests. Due to the unique nature and the dependency it might cause, the duty to renegotiate can also be argued to be heightened. The heightened good faith standard of termination and the duty to renegotiate are present in the U.S. system as well, which can be seen from the case law.

Like in the Finnish system, the U.S. system also recognizes the importance of protecting the parties' reasonable expectations. However, it seems that the U.S. system does not go as far in imposing obligations to safeguard and promote the other party's expectations as the Finnish system does. In Finland, the principle of loyalty can create obligations not expressly stated in the agreement, especially regarding actively promoting the other party's interests. In contrast, in the U.S., the general view is that the duty of good faith and fair dealing cannot give rise to new contractual obligations. In the U.S., a party's inherent right to pursue its interests is also valued more highly as opposed to Finland, where the parties are seen more as a unit working towards a common goal.

The implied duty of best efforts comes closer to the Finnish principle of loyalty, as it also includes an active obligation to the parties to fulfill their part with the best reasonable efforts to ensure that both parties enjoy the fruits of the contract to the highest degree possible. The implied duty of best efforts can also resemble the principle of loyalty in that its effects on the agreement can be seen as somewhat mirroring the obligation imposed by the principle of loyalty to promote the fulfillment of the interests of the other party. This is because the implied duty of best efforts sets the standard and a party's duty at a higher level than just implementing the duty of good faith and fair dealing, where the duty of implied best efforts can be seen as a more active obligation. The duty can sometimes set an even higher standard of cooperation and promotion of the other party's interests than the principle of loyalty.

In both systems, however, it can be noted that the intellectual property dimension of the agreements is not the driving force in enhancing the importance and extent of obligations of loyalty, but that this is instead due to the nature of licensing agreements as a larger group of contracts.

Although many of the effects and obligations derived from the principle of loyalty can be argued in legal literature to have a heightened role or higher standards when it comes to copyright and trademark licensing agreements, in case law, the courts have not shown as favorable interpretations of the effects the principle of loyalty should have on these types of licensing agreements. The courts have been cautious in their application of the principle and generally avoid using it in their reasonings.

In the U.S., however, the duty of good faith and fair dealing is abundantly present in case law throughout the country. Even though it is understood that, as in Finland, the actual effect of the duty on agreements is not as significant in case law as it is presented to be in legal literature, the U.S. courts have used the duty in their reasoning and depending on the state also given the duty importance as an independent norm. This difference could be explained by the codification of the duty in U.S. state-level statutes, whereas the principle of loyalty is not codified in Finland as such.

Franchising agreements are mostly affected similarly to copyright and trademark licensing agreements. Duties like good faith contract terminations or duty of disclosure can be seen as heightened in franchising agreements due to the imbalance in such contracts. The duty to cooperate is also given importance. In the U.S., the recent trend has been in protecting the franchisee as the weaker party.

In Finland, franchising agreements as an agreement type do not give rise to any new duties or obligations. However, they do increase the extent to which the principle of loyalty affects these agreements due to their high level of relationality. The same appears to be true regarding the U.S., and the principles governing loyalty seem to work quite similarly in these types of agreements, albeit with the distinction that, at least in Finnish legal literature, the obligations arising out of the principle of loyalty can be seen as more far-reaching than the U.S. equivalents. When comparing the effects that the duty of good faith and fair dealing has on franchising agreements versus other types of licensing agreements, it can be noted that due to more regulation, the rights and interests of franchising parties seem to be better ensured.

The principle of loyalty is not necessarily seen as an independent legal norm in the Finnish system. It is under debate whether it can be considered an independent legal norm and lead to liabilities, as the general approach of the courts seems to be that an express term of the agreement or a mutual understanding between the parties should have been breached for the breach of the principle of loyalty to influence the agreement and the parties' obligations. In comparison, the U.S. duties of good faith and fair dealing and best efforts can, in some cases, lead to liabilities as independent legal norms, as can be seen in the case law presented above.

However, when taking into consideration all of the above, regardless of their differences, ultimately, the principle of loyalty and the duties of good faith and fair dealing and best efforts aim at the same result, to uphold reasonable expectations, prevent unfair conduct, and to ensure that the parties act with fairness and loyalty toward each other, affecting the agreements in similar ways, the main difference being the extent of these effects.

5.2 Which Body of Contract Law Governing Loyalty in Copyright and Trademark Licensing Agreements Better Ensures the Rights of Contracting Parties?

Determining which body of contract law governing loyalty better ensures the parties' rights is a multifaceted topic depending on various factors and perspectives. The tradition of formulating very all-encompassing and detailed contracts and licensing agreements is very prominent in the U.S., where it has then spread to other parts of the world, including Finland. This process has been called the Americanization of Finnish contract drafting culture.¹⁸⁹ The Finnish contract drafting culture, however, started from a very different approach, where traditionally, contracts were concise, with only the most essential points negotiated and agreed on beforehand.¹⁹⁰

In the U.S., the agreements are most often drafted so that they include as many matters and aspects as possible, and the aim is to have provisions in the agreement regarding all possible situations so that the interpretation of the agreement would not have to be based on more vague concepts such as the common intent of the parties. As this kind of contract drafting reduces the flexibility of the contract, it might be argued that these types of contracts inherently require less loyalty on behalf of the contracting parties, as there is less need to protect either party from exploiting the contract's gaps as the roles of both in these types of agreements are more regulated, and less discretion is vested on the parties.

The principle of loyalty imposes more extensive obligations on parties, such as negotiating in good faith both in the pre-contractual stage and within a contractual

¹⁸⁹ Sund-Norrgård 2011, p. 16.

¹⁹⁰ Lukander Ruohola HTO 2024.

relationship, disclosing information, and actively promoting the other party's interests and goals in addition to the party's own. This approach aims at fostering mutual trust and fairness between the parties, focusing on genuine cooperation and collaboration, which can lead to both licensors and licensees being better protected.

The U.S. legal system approaches this topic very differently, generally prioritizing the enforcement of express contract terms. The system does recognize the duty of good faith and fair dealing and the duty of best efforts, but more often gives priority to express terms and adhering to the agreed. This approach may give parties more certainty regarding their contractual rights and obligations, as courts are less likely to intervene based on implied duties.

The U.S. system emphasizes contractual freedom and adherence to express terms, which can lead to one party more easily exploiting the contractual gaps to its advantage, whereas, in Finland, the principle of loyalty may create a more level playing field and even encourages the parties to act in each other's best interests.

As Finnish contracts have traditionally included more gaps and unregulated matters, the need for implied or statutory loyalty has risen to ensure that the parties refrain from exploiting such gaps and that the contractual relationship would also otherwise go about smoothly. The principle of loyalty is construed to protect the rights and interests of both parties impartially. In reality, the protection is not divided as equally as intended. Where the various duties imposed by the principle of loyalty apply to both parties, frequently their effects and obligations are divided unequally. One such example is the duty of disclosure.

Even though the duty of disclosure is divided equally amongst parties, it will always help more to ensure the rights of the party with less disclosable information available, where such a party might gain heaps of knowledge without having to disclose much in return. On the other hand, the other party might have to give out strategic or otherwise critical information that it would not have disclosed were it not for the implied principle of loyalty. This can be seen in the example given of the publishing company and an author.

Some forms of loyalty can also, while protecting the weaker, more dependent party, hinder the execution of the other party's rights, such as in the case of the duty to

renegotiate. The other party's rights can be restricted, as the implied principle of loyalty in this case would make it harder for the party to use its freedom of contract and freedom to terminate one. This has been the case even when the agreement explicitly states under which circumstances a termination is possible.

Even though, in many cases, it seems that the principle of loyalty does more to protect and ensure the rights of the weaker party, it can be asked if this is just because the stronger contracting party does not need external protection to ensure its rights are ensured. It can also be asked whether it would even be possible to protect and ensure both parties' rights without simultaneously restricting or hindering the usage of the other party's rights. Finland has seemingly taken the approach that to ensure the rights of the weaker party, the usage of the stronger party's rights may sometimes have to be restricted.

The U.S. system has taken a somewhat differing approach, and the duty of good faith and fair dealing primarily focuses on cases where a party is deliberately trying to extort or otherwise use the possible gaps and wording of the agreement to its benefit and the detriment of the other party. The duty cannot, however, be seen to trump an express term, so it cannot interfere in a situation where the agreement itself is causing the other party not to be able to properly use its rights by enabling the other party to exploit the situation. The focus is thus on making sure that both parties' minimum rights set in the agreement are being protected instead of trying to make sure that both parties get the maximum amount of benefits from the agreement fairly and equally.

The parties can even agree on a lower standard of loyalty between each other. This can lead to the weaker party being unable to protect its reasonable expectations as efficiently and, in extreme cases, even to being hindered from using some of its rights. In pre-contractual negotiations, the parties are seen to have no implied duty of good faith and fair dealing or other obligations of loyalty. This can ensure that both parties can freely use their freedom of contract. However, it can also lead to them not being able to trust the reasonable expectations of the parties entering into the contract, especially in lengthy negotiations. Another question is whether the parties can even be seen to have such a right. In the U.S., they do not, but in Finland, they may in certain circumstances. No conclusion can thus be drawn on

which approach to a pre-contractual obligation of loyalty better ensures the rights of the parties.

The implied duty of best efforts is closer to a party's obligation to promote the other party's goals imposed by the Finnish principle of loyalty. Whether this aspect of the loyalty principles really ensures the rights of the parties or just enhances the extent to which their interests and goals are met during the contractual agreement is a question worth asking, as, for the most part, the differences between the two systems culminates in the extent to which loyalty is expected from the parties in relation to them being obligated to safeguard and promote also the other party's interests instead of the traditional approach of both parties just acting in their self-interest.

In both systems, the courts have been seen to take a more conservative approach to the application of the principles. Especially in the Finnish cases covered above, it can be argued that the courts do not take into account well enough the unique features and characteristics of intellectual property and what that might entail for the licensing agreements, which can then, in turn, lead to the rights of the parties not being ensured as well as they should. This would be especially important with these kinds of properties as they might include moral rights in addition to the traditional economic rights, and they may also cause a party to become more dependent on the continuation of that specific contract with that specific contracting party.

As the U.S. has specific legislation on franchising agreements, it can be noted that the rights of the parties, especially the more dependent party, are ensured and protected to a greater extent than with other types of copyright and trademark licensing agreements. This can be noted in how the courts have applied the further-reaching implied duty of best efforts in franchising agreements. The courts have also been seen to rule that the implied duties of loyalty can, in such agreements, also create obligations not expressly mentioned in the agreement or even completely change the interpretation of certain clauses. In Finland, there is no specific regulation on franchising agreements, and it seems that the rights of the parties are protected in a similar way to how they are protected in other copyright and trademark licensing agreements, only maybe to a slightly larger extent.

All in all, even though it can be seen that in Finland, the reasonable expectations of the parties are protected to a more considerable extent, and the parties are obligated

to promote each other's goals, it is still questionable whether this can directly be interpreted as the Finnish system better ensuring the rights of the parties. This is because in Finland, in order to protect the weaker party or try to make sure that parties take into account each other's interests and do not just act selfishly, often it seems that some of the rights of the parties are restricted or even partially discarded to achieve this level of cooperation.

Even though in the U.S., the cooperation, selflessness, and utilitarianism of the parties are not held in equally high regard, the system focuses on protecting the freedom of contract and, thus, some of the parties' most fundamental rights. This might lead to unequal or unfair arrangements, but these arrangements are entered into by two willing parties. A question can always be presented as to how willing or free the weaker party was when entering into an agreement, but it must be remembered that the starting point is that legal persons entering into agreements are seen and treated as equals regardless of whether a *de facto* imbalance exists between the parties.

Both systems approach this topic differently and protect and ensure the parties' rights in somewhat different ways. Also, understanding the parties' rights in these situations differs in some issues. This is why a comprehensive and exhaustive answer to the question presented in this chapter's title is complicated, as it depends on how the parties' rights are defined and what aspect the person answering this question emphasizes: cooperation and reasonable expectations or freedom of contract.

Even though, at first glance, the Finnish system and the principle of loyalty better ensure the rights of the contracting parties as they impose more far-reaching obligations on the parties, it also has its limitations. Even though it may offer greater protection to parties with less bargaining power, prioritizing fairness and mutual trust, it also often ends up restricting quite extensively the other party's chances of using its rights. The U.S. system, limited by the smaller extent to which these duties affect licensing agreements, emphasizes contractual certainty and freedom, which can lead to more predictability and does not lead to as many restrictions on the usage of rights of the parties. So, while the Finnish approach more often leads to a more balanced playing field, creating new rights for the parties, the U.S. system creates

more certainty and better ensures the rights of the parties established by the parties in the agreement.

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